

# **Gray Divorce After 50**

*The Money Moves That Actually Matter: House,  
Retirement Accounts, and Starting Over Solvent*

Carol Dunn

Copyright © 2026 Carol Dunn

Published by FutureProof Publishing

All rights reserved. No part of this book may be reproduced in any form without written permission from the publisher, except for brief quotations in reviews.

The author name, Carol Dunn, is a pen name. Personal stories are composites written to illustrate real situations, not accounts of real identifiable people. The author holds no credential as an attorney, CPA, financial planner or mediator, and this book provides general financial and tax information, not legal, tax, or financial advice. Reading it creates no professional relationship. Divorce, property division, support and beneficiary rules vary by state and change over time, and retirement plan terms vary by plan. Confirm everything that applies to you with a divorce attorney, a CPA, your plan administrator, and the official sources named in the text — the Department of Labor, the IRS, the Social Security Administration, HealthCare.gov, and your own state's court website.

# Contents

[The Pile on the Table](#)

[Chapter 10: The Pile Becomes a List](#)

[Chapter 11: What a Plan Actually Needs](#)

[Chapter 12: The Pension Question I Hadn't Asked](#)

[Chapter 13: The House Has a Yearly Price](#)

[Chapter 14: Equal Balances, Unequal Money](#)

[Chapter 15: A Number, a Date, and What It's Worth After Tax](#)

[Chapter 16: Coverage Ends on a Date You Have to Ask For](#)

[Chapter 17: December 31 Decides More Than You Think](#)

[Chapter 18: What the Room Is For](#)

[Chapter 19: Who's Still Listed](#)

[Chapter 20: What One Household Costs](#)

[Closing: After the Last Signature](#)

# **The Pile on the Table**

There's a particular kind of evening when the decision has been circling for months and hasn't been made yet. The mail has stacked up on the end of the table because neither of you has been opening it with any real attention — an account statement, a mortgage statement, a letter from a plan administrator you don't recognize anymore. You sit down with the stack, meaning to sort it, and instead you just look at it. You haven't said the sentence out loud yet, and you notice that not saying it is its own kind of work, heavier than the sorting.

Leave the pile where it is tonight. Tomorrow, you can decide which paper needs an answer first. What I want you to sit with here is just the shape of the evening: an unmade decision, a pile of paper that suddenly matters more than it did yesterday, and no idea yet which piece of it to pick up first.

That not-knowing is the reason this book exists.

## **Why this is a different problem at this age**

Here is the plain version: divorcing at fifty-five is not divorcing at thirty with more wrinkles. It is a different financial problem, and treating it like the same one is how people lose money they can't get back.

At thirty, you mostly have time on your side. Whatever gets divided, there are still twenty or thirty working years ahead to rebuild it. At fifty or sixty, that runway is short, and it keeps getting shorter while the paperwork grinds through the courts. A bad year in

the market or a year lost to a stalled filing doesn't have the same decades behind it to smooth out. You feel every delay in a way a younger couple doesn't.

There's a second difference, and it's the one most people underestimate going in. After twenty, thirty, thirty-five years together, the money isn't sitting in one checking account you both watch. It's spread across old 401(k)s from jobs neither of you has held in a decade, a pension from a company that may not even use that name anymore, and an IRA opened after a rollover nobody remembers filling out. Add a brokerage account with decades of appreciation baked into it, and a house that's been "paid off" so long you stopped thinking of it as an asset with a cost attached. Untangling that takes more than a conversation. It takes documents, and sometimes it takes professionals, and it almost always takes longer than you'd like.

In some marriages, retirement accounts may be worth more than the equity in the house. Put both amounts on the same balance sheet before negotiating either one. The house is the asset you can walk through, touch, and picture selling, which is exactly why it tends to dominate the conversation at the kitchen table. A 401(k) statement is a column of numbers mailed once a quarter; it doesn't have a front porch or a kitchen you renovated together. That difference in how an asset *feels* has nothing to do with how much it's actually worth, and trading away a share of a retirement account because the house feels like the bigger prize is one of the costliest mistakes this book can help you avoid. I'm going to ask you, more than once in this book, to look past the room you're standing in and toward the accounts you can't see from where you're standing.

## **What this book is for**

This book is a sequence, not a textbook on family law and not a substitute for the professionals you're going to need. It starts with two decisions: what to gather before you agree to anything, and how a retirement account actually gets divided. Everything else follows from those.

If a signing deadline or a coverage lapse is already in front of you, call your attorney today; the section below tells you what to ask. If nothing is due this week, start with Chapter 10's account inventory before any other chapter.

Each chapter ends with something you can use — a checklist, a worksheet, a set of questions — built to hand to your attorney or your CPA rather than to argue with them. I'd rather give you the right question to ask a professional than a half-confident answer that might not hold up in your state.

## **What this book is not**

I am not a lawyer, a CPA, a financial planner, or a mediator, and I don't pretend to be one in these pages. Carol Dunn is a pen-name voice. The situations in these pages are composites, not evidence that their author went through a divorce. Use the questions here with your own attorney or CPA. Nothing in this book is legal, tax, or financial advice, and nothing in it creates any kind of professional relationship with you. Divorce law, property division, and support rules vary by state, and retirement plan terms vary by plan. Where that matters — and it matters often — I'll say so, name the source that governs the general rule, and tell you how to confirm the version that applies to you.

There are two subjects this book touches but does not try to finish. Social Security has a divorced-spouse rule worth knowing early, and I will give you the short version when it comes up, with a pointer to

*Social Security, Claimed On Purpose* for the full claiming-age strategy. Medicare belongs to its own book entirely, *Medicare Made Plain*, and I will mention it only once, near the chapter on health coverage. I would rather hand you a whole book on each than squeeze a thin version into this one.

## **If something is due this week**

Before you read another page, check whether you are actually facing a deadline right now, because that changes what you do tonight. Not every piece of paper in your pile is a deadline. Most of it is background. But a few kinds of notice need an answer on a clock, and it's worth learning to tell them apart before you decide what to read next.

A court or signing deadline looks like a date on a filing, a settlement agreement, or a letter from your attorney's office telling you a response is due by a certain day. If you have one of these, it takes priority over every chapter in this book. Call your attorney today, not after you've finished gathering records, and ask what this specific date requires of you. Ask your attorney which documents this specific deadline requires. Do not assume it calls for either your whole file or a short list.

If coverage through a spouse's employer may end soon, read Chapter 16 before any other chapter and ask the plan administrator, in writing, for the date coverage ends and every notice or election deadline that applies to you.

An account-access deadline shows up when a joint account, a joint credit card, or a shared line of credit is being closed, frozen, or converted as part of the separation. If a letter or a conversation tells you a joint account will close or change on a specific date, that date matters more than any chapter order in this book. Before that date arrives, know which bills are set to draft from that account and have

a plan for where they'll draft from afterward. A missed mortgage or utility payment during a transition doesn't care whose fault the paperwork delay was.

A lender deadline is the one people most often discover too late. If your name is on a mortgage, a refinance, or a loan being restructured as part of the settlement, the lender sets its own window to complete that change. A settlement may set a refinance deadline. The lender may set a different deadline for its own approval process. Ask your attorney how the two dates interact.

If you've read these four kinds of deadlines and none of them describe anything in your pile right now, you likely have more room than it feels like tonight. That doesn't mean the pile isn't urgent in its own way. It means the urgency is about getting organized, not about beating a clock — and that's exactly the problem the next chapter is built to solve.

Whichever kind of deadline you're facing, write down four things before you call anyone. Note the exact date on the notice. Note the name and phone number of the person or office it came from. Note the specific action it's asking you to take. Then write one question for your attorney: is that action actually required of you right now. Keep that note on top of the pile, not in your head. A written note is the first thing your attorney's office will ask for when you call, often before they ask for any other document.

## **How to use this book**

Read it roughly in order, at least the first few chapters. The early chapters on gathering records and understanding how retirement accounts divide set up almost everything that comes after — the house, the debt, the taxes, the budget you'll eventually build. If a specific chapter matches a decision in front of you right now, you can skip ahead to it, but go back and read what you skipped before you

sign anything. The beneficiary chapter is later in the sequence; if you are updating accounts now, read it before you sign or submit any forms.

Keep a notebook or a document open as you go. Several chapters build worksheets meant to be filled in over weeks, not read once and closed. The account-and-document checklist you'll build in the next chapter, in particular, is worth revisiting every time a new piece of paper turns up, because it will.

And when a chapter tells you to ask an attorney or a CPA a specific question, write the question down verbatim and bring it to the appointment. Ask how the appointment is billed, and bring a written list of questions and documents.

## **One honest thing before we start**

One household may have less money to work with after divorce, while some costs will not fall in half. Build a budget from your own post-divorce income, obligations and housing costs before accepting a settlement. The job in front of you isn't to guess at that number. It's to make sure that when the dividing happens, it happens on terms you understood, with records you kept, and with nothing important left unsigned, unasked, or forgotten on a form you haven't looked at in years.

Start with the pile on the table. The next chapter tells you exactly what to do with it.

## **Chapter 10: The Pile Becomes a List**

I sat at that kitchen table with the decaf going cold and realized I could not have told anyone, with a straight face, how many bank accounts I had. Not the number. Not the names on them. I knew the building where we banked — a squat brick branch off Baseline Road I'd driven past twice a week for fifteen years — and that was it.

It took me two weeks of phone calls, old emails, and one afternoon going through a filing cabinet Russ hadn't locked, to learn the real number. Six. A checking account and a savings account we both used. A 401(k) from the utility company. A second 401(k) from a job he'd held in the nineties that I'd never once heard him mention. An IRA that had apparently absorbed that old 401(k) in a rollover nobody told me about. And a pension, vested, that I only found because a statement for it showed up in March with his name misspelled.

Six. After thirty-one years. I'll say this plainly, because nobody said it to me: you do not know what you own until you've gone and counted it, and counting it is the first job, before any lawyer, before any conversation about who gets the house.

### **Before you agree to anything, get the statements**

Here is the only rule in this chapter that matters more than the rest: do not sign anything, agree to anything verbally, or let a conversation about "how we'll split things" go further than small talk until you have copies of every account statement you can find. Not because

you're plotting something. Because you cannot negotiate over money you can't see, and a spouse who has run the finances for three decades knows where everything is in a way you may not.

This isn't paranoia. It's homework, and it's homework nobody assigns you. A family-law attorney will ask for this list in your first real meeting. If you show up with it already built, that meeting does actual work instead of spending its first hour on an inventory you could have brought.

Start with records for accounts you own or jointly own, and documents you may lawfully access. Do not enter an account or use a login that is not yours. Ask your attorney how to request records for anything else.

Checking and savings accounts, joint and individual. Even the account you forgot existed, the one with forty dollars in it from a tax refund three years ago, goes on the list. It's not about the forty dollars. It's about training yourself to assume nothing.

Retirement accounts — 401(k), 403(b), 457, IRA, Roth IRA, SEP-IRA, any pension. If either of you has worked for more than one employer, there may be an old plan sitting untouched from a job neither of you talks about anymore. That's exactly the kind of account that gets missed, and exactly the kind that can hold real money.

Brokerage and investment accounts, including anything at a firm you don't recognize from a financial advisor who called once in 2011 and set something up.

Life insurance policies with any cash value, and annuities.

Real estate — the house you live in, and anything else: a rental, a timeshare, land out of state, a cabin that's been "in the family" but is actually titled to one of you.

Debt — every credit card, car loan, personal loan, home equity line, and anything cosigned. Debt counts in this inventory exactly as

much as assets do, because what you owe shapes what you can actually walk away with.

Business interests, if either of you owns part of a company, a practice, or even a small side business that files its own return.

Get this from your own files first. Later in this chapter I'll walk you through pulling a credit report, which is often where a hidden account turns up on paper, in your name, whether anyone meant for you to see it or not.

## **What “discovery” means, in plain terms**

Somewhere in this process, probably from your attorney, you'll hear the word “discovery.” It sounds more dramatic than it is. Discovery is the formal legal process by which each spouse is required to disclose financial information — accounts, income, debts, property — to the other, under rules that vary by state and by court. It exists because the law assumes, correctly in a lot of long marriages, that one spouse may know far more about the money than the other, and that a fair settlement requires both of you working from the same facts.

You do not need to understand the mechanics of discovery to start building your own list tonight. What you need to know is simpler: the list you're building now, from your own records, before any formal request goes out, gives your attorney a head start. It also gives you a way to check whether what eventually comes through discovery matches what you already know. State law varies on what each spouse must disclose and when, so ask your attorney, early, what your state requires and what happens if an asset turns up that wasn't on anyone's list.

## **The checklist**

By the end of my second week, I had a single sheet of paper taped inside a kitchen cabinet, out of sight but not out of reach. It had every account I'd found, with four columns: the institution, the account type, the approximate balance as of my most recent statement, and whose name was on it. I added to it every time a new piece of mail turned up, and new mail did turn up, for months.

Build the same sheet. One row per account or debt, with the institution and account type, the approximate balance as of your most recent statement, whose name is on it, and where the statement or confirmation is filed — a folder, a scanned copy, a photo on your phone of the screen.

Keep a copy somewhere your spouse doesn't control and doesn't know to look — a folder at a sibling's house, a cloud account only you can access, a safe deposit box in your name alone if you have one. I kept mine, eventually, at my brother Ed's place in Albuquerque, which felt a little like something out of a spy novel and was really just common sense.

## ***The account-and-document checklist***

For each account or debt category below, record: institution, last four digits of the account number, owner or title (yours, spouse's, or joint), balance and date of the statement, whether the statement is saved, your access status, your question for the attorney, and your next action.

- Bank accounts, checking and savings
- Workplace and individual retirement plans, plus any pension
- Brokerage and investment holdings
- Policies with cash value, and annuities
- Property you own, live in, or hold title to

- Every debt, owed alone or together
- Any share of a business or practice

## **Request your credit reports, and consider a freeze**

Request all three at [AnnualCreditReport.com](https://AnnualCreditReport.com); compare each report because the information can differ. You're looking for two things: accounts you didn't know existed, and activity — new cards, new inquiries — that's happened recently without your knowledge. For a freeze, you'll still contact Equifax, Experian, and TransUnion separately.

A credit report can reveal credit accounts, loans, and inquiries you did not recognize. It will not reliably show retirement accounts. Use old tax returns, W-2s, employer records, mail, and formal disclosure to look for those.

A credit freeze is worth understanding here, even if you decide not to use one yet. According to the Federal Trade Commission, a security freeze is free and stays in place until you lift it. It does not affect your credit score. And it must be requested separately with each of the three nationwide bureaus, since freezing one does not freeze the others.

A freeze stops new creditors from checking your credit, which stops most new accounts from being opened in your name without your knowledge. It won't affect existing joint accounts you're already on, and it won't retroactively undo anything that's already open. If you're worried about new debt being taken out during a contentious separation, a freeze is a reasonable, reversible step. It costs you nothing but the paperwork of lifting it later, if you need to apply for credit yourself before the freeze comes off.

## **Separate the joint cards you can**

Once you have your list, look specifically at the joint credit cards and any shared line of credit. If you are a joint borrower, the account agreement may leave each borrower responsible for charges; an authorized user may have different rights and liability. Call the issuer, review the agreement, and ask your attorney what you may change while the case is pending. We'll cover the deeper question of joint debt, and what a decree can and can't do about it, in Chapter 14. For now, the practical step is simpler: where you can, close joint cards you no longer need jointly. Open an individual account in your own name too, if you don't already have one, so you have a credit history that isn't tied to a marriage that's ending.

Don't close every joint account reflexively before talking to your attorney, especially if doing so could look like you're trying to freeze your spouse out of shared funds during a dispute. Courts in some states take a dim view of a spouse who moves money or closes credit unilaterally right before or during a filing. This is one of the places where a quick phone call to your attorney before you act can help you avoid a mistake that may be hard to undo. Ask specifically whether closing a given joint account now could complicate your case.

## **A temporary budget, built fast and rough**

You don't need a polished budget this week. You need a rough one, built in an evening, that tells you two things. What's coming in, from any source. And what has to go out no matter what happens with the divorce — the mortgage or rent, utilities, insurance premiums, minimum debt payments, groceries. List those in one column. In a second column, write what you're actually spending now, which is often a different number. The gap between those two columns is the thing you and your attorney need to know before any temporary

support arrangement gets discussed. A judge or a mediator can't account for a shortfall nobody mentioned.

This isn't the single-person budget you'll build later, in Chapter 20, once the settlement is closer to final. This is a bridge budget — a way to see clearly for the next few months while everything else is still being sorted out. Write it on paper or in a plain spreadsheet. You don't need software for this, and you don't need it to be pretty. You need it to be honest.

## **When to call your attorney now, not later**

A few situations in this chapter are urgent enough that they shouldn't wait for you to finish the full inventory. If you believe an account has been emptied, moved, or hidden in the weeks since the decision to divorce became real, tell your attorney immediately. Don't wait to see if the money reappears, and don't confront your spouse about it yourself before you've talked to counsel. State law varies on what counts as improper dissipation of marital assets and what a court can do about it, but the window to act matters.

If you're being asked to sign anything — a temporary agreement, a line on a joint account closure, anything — before you've finished your own inventory, slow down and call your attorney first. And if you genuinely don't know whether an asset belongs to you, your spouse, or both, write the question down. Bring it to your first real meeting rather than guessing an answer into the conversation.

Your list is the starting point, not the division. Next, use the retirement-account entries to learn what a plan needs before it can divide them.

## **Chapter 11: What a Plan Actually Needs**

My attorney told me, back when the decree was still a draft, that the hard part was behind us. We'd agreed on a number. Russ would keep the house and his pension; I'd get half of his 401(k) from the utility company, plus the old one from the nineties job. Each award was written as a percentage of the account when the plan implemented the division. On paper, it looked settled. It took four more months before a dollar of it moved. During the delay, the account fell nearly ten percent, so the dollar value of my percentage fell with it. The decree said what it said, but our process had missed the plan's instructions.

That gap — between what a judge signs and what a retirement plan actually does — is the single most expensive thing I didn't understand going into this. I want to close it for you now, before you're the one waiting on a letter.

### **What's actually divisible: state law decides, not you**

Before any of this reaches a plan, someone has to work out what share of an account is marital or community property and what share is separate. That answer turns on your state's law, not a formula you can run yourself from a statement balance. The marriage date, the separation or filing date, when contributions were made, and years of service all matter, and they interact differently depending on where you live. Give your attorney the marriage date,

the separation or filing date, and each account's contribution and service history, and let state-licensed counsel determine what's actually yours to divide.

## **Your decree doesn't talk to the plan by itself**

Here's the belief I walked in with, and I suspect you might be carrying some version of it too. Once the judge signs the divorce decree awarding me half of Russ's 401(k), I figured the money was mine, more or less automatically. It isn't automatic. The decree alone usually isn't enough.

Many private-employer 401(k), 403(b), profit-sharing and pension plans are governed by ERISA and use a QDRO. Governmental, church and other plans may use different domestic-relations-order rules. Ask each plan administrator, in writing, which law and order process govern that specific plan. For the plan to pay out any part of a participant's benefit to a spouse or former spouse, it needs a particular kind of order: a Qualified Domestic Relations Order, almost always shortened to QDRO. Per IRS Publication 504, a QDRO is a judgment, decree, or court order, including an approved property settlement agreement, issued under a state's or tribe's domestic relations law. It recognizes someone's right to receive all or part of a participant's benefit, and it contains the specific terms the plan requires.

Notice what that definition doesn't say. It doesn't say the order has to be a separate document from the decree. An approved property settlement agreement can itself be a QDRO if it contains the required terms. What it does require is that the right document, with the right language, reaches the right office: not the courthouse, not your attorney's file cabinet, but the plan administrator. The plan administrator, not the family-court judge, makes the qualification determination. Your attorney can draft something airtight by every

standard a family court cares about. A plan can still reject it if it doesn't match that plan's own requirements. This isn't the court overruling itself. It's two different systems — state domestic-relations law, and a federally governed retirement plan — that don't automatically read each other's paperwork.

An IRA is different, and worth separating out here so you don't carry the QDRO rule where it doesn't belong. An IRA isn't an employer plan, and ERISA's QDRO machinery doesn't apply to it. Under Publication 504, moving all or part of an IRA to an ex-spouse because of a divorce decree, or a written instrument incident to one, isn't a taxable event. An IRA transfer incident to divorce must follow the decree or qualifying written instrument and the custodian's procedures. A direct custodian-to-custodian transfer is usually the clean route; do not withdraw the money personally. Ask the custodian and a tax professional how to document it. Go back to the list you built in Chapter 10. If every row on it is an IRA, this chapter's central warning doesn't apply to you the same way, though the tax treatment below still does. If any row is a 401(k), a 403(b), a 457, or a pension, keep reading closely.

## **Six things you can actually control**

I spent those four months calling my attorney's office every couple of weeks, asking some version of "is it done yet," and getting some version of "it's in process" back. What I didn't know then, and wish I had, is that there was no clock running that either of us could read. Plan processing times vary by plan. No official source states a typical number of weeks, and I won't invent one for you here. What you can do instead is control the sequence, in order, so that nothing sits waiting on a step nobody started.

**First, request the plan's written QDRO procedures.**

ERISA requires retirement plans to maintain written procedures for

determining whether an order is qualified, and many plans also offer model order language built to match what they need. Your attorney, or you, can request this directly from the plan administrator. Find that contact in the plan's summary plan description, the online participant portal, a recent plan notice, or the plan's Form 5500 filing. It may be an employer committee or a third-party administrator, not the HR desk you'd expect; confirm the submission address in writing. Do this early, ideally as soon as you know which accounts are in play, not after the decree is signed. I didn't learn this document existed until my attorney mentioned it almost as an afterthought, three months in, and the time it had sat unrequested was time nobody got back.

**Second, have the order drafted against those procedures.** This usually means your attorney, or an outside specialist your attorney brings in for exactly this task, writes the QDRO to match the plan's own required terms. Make sure the draft specifies the valuation date, whether the award is a fixed dollar amount or a percentage, how gains and losses are allocated between the valuation date and the transfer, any outstanding plan loans, and contributions made after the cutoff. Those terms, not the processing time, decide whether a delay costs you anything. It can happen alongside the decree, or shortly after, rather than waiting for the decree to finalize first and starting from scratch. The two documents can move in parallel. Ask your attorney directly whether that's happening in your case, because it's an easy step to let slide while everyone's attention is on the decree itself.

**Third, submit the draft to the plan for preapproval, if the plan offers it.** Many plans will review an unsigned draft informally and flag problems before it's final. An unsigned draft never gets qualified on its own, but catching mistakes early saves a formal resubmission later.

**Fourth, once the decree is entered, promptly send the plan the signed or certified order it requires.** A draft sitting in a file folder, preapproved or not, does nothing until the executed order the plan asked for actually reaches it.

**Fifth, get the administrator's written qualification determination.** The plan reviews the order against its own procedures and tells you, in writing, whether it qualifies. If it doesn't, you'll get specific reasons, and the order goes back for revision. This is a normal part of the process, not a sign anything has gone wrong. It is, though, one more reason to start the sequence early rather than late, since a resubmission costs time you don't get back.

**Sixth, confirm in writing that the division was actually implemented.** A qualified order and an executed transfer are not the same thing. Ask the plan to confirm, in writing, that your share has been set up as its own account or recorded in the plan's records. This is the step I'd tell you never to skip, because "qualified" only means the plan accepted the order's terms. It doesn't mean the money has moved.

None of these six steps comes with a promised number of weeks attached, and I'm not going to invent one for you. What I can tell you is that every month this sequence sits untouched is a month the account keeps doing whatever the market does, with nobody's name clearly attached to the piece that's supposed to be yours.

## **What happened to mine, and what I'd do differently**

The old 401(k) from the nineties job — the one I didn't know existed until Chapter 10's search turned it up — is the one that cost me. My attorney drafted the order, but nobody requested the plan's written procedures first. The draft came back twice for revisions that could have been caught the first time, if we'd started with what the plan

actually required. By the time the administrator confirmed the division was implemented, the market had dropped, and my half was a smaller number in dollars than it would have been the week the decree was signed. Because the order fixed my share as a percentage of the account rather than a dollar amount, my share was calculated against that lower balance, and the drop came straight out of what I actually received.

I want to be careful here, because it would be easy to turn this into a bigger lesson than it actually supports. I don't know what the market would have done if the order had moved in half the time. It might have dropped anyway. What I do know is that nobody was watching the clock on that account while two other things moved faster. The gap between signing and dividing is a real risk sitting in the account the whole time it's open, in either direction — it can cut against you or in your favor, and you have no control over which. If I were doing this again, I would ask, on day one, for the plan's QDRO procedures on every workplace account on my list, before the decree was anywhere close to final. That's the one piece of this chapter I'd go back and hand to myself.

A pension complicates this further, because a pension's QDRO often needs to address survivor benefits too, not just the dollar split.

## **What happens to the money once it moves**

If part of your share comes to you directly rather than rolling into your own retirement account, Publication 504 treats it as generally included in your income for tax purposes. You have two real choices, and a CPA should weigh in before you pick one. Take it as cash, and it's taxable income now, usually with 20 percent withheld automatically. Or roll it, as an eligible rollover distribution, tax-free into an IRA or another qualified plan, where it becomes your own retirement money. There's one more reason to ask a CPA first. A

distribution paid to you as an alternate payee under a QDRO is an exception to the 10 percent early-distribution tax that otherwise applies under age 59 1/2 (see the IRS's retirement-topics page on tax on early distributions). That exception belongs to the QDRO payout itself; it doesn't carry over to a later withdrawal from the IRA you roll it into. Ask the plan, before any money moves, whether your share can go by direct rollover rather than as a check made out to you, and ask your CPA which choice fits your situation. A check you deposit yourself still has rollover rules and a limited window to act; a direct, trustee-to-trustee rollover avoids that and the automatic withholding.

This is also the moment to decide, with a CPA if the number is large enough to matter, whether you want this money in its own account, separate from anything else. A clean record of what came from the QDRO, and when, is worth having. Chapter 19 will ask you to update every beneficiary form you touch; that includes this new account, from the day it opens.

## **Questions for your attorney, written down before you call**

Bring these, verbatim, to the attorney handling your case. Don't paraphrase them into the conversation and hope the right answer comes back; ask them as written.

Which of our accounts need a QDRO, and which are IRAs that only need a custodian-to-custodian transfer? Is the QDRO being drafted alongside the decree, or will it wait until after the decree is final? Once drafted, how will it be submitted, and who is responsible for following up with the plan if we don't hear back? When the plan sends its written qualification determination, will you send me a copy, and will you also confirm, separately, that the division was actually implemented in the account records?

## **Before you move on**

One more thing worth saying plainly: none of this is a reason to delay the decision itself. The QDRO sequence runs on its own timeline, alongside the rest of the case, not after it. Plenty of divorces finalize with the order still moving through a plan's review. Do not assume that starting the process preserves every right. Ask your attorney and the plan, before the decree or any retirement election, which steps must be completed to protect the award and survivor rights in your case.

Mark, right now, which accounts on your Chapter 10 list are workplace plans and which are IRAs. For every workplace plan, call your attorney's office today, not to ask whether it's done yet, but to ask whether the plan's written QDRO procedures have been requested. That single call is the one that would have saved me the most, if I'd known to make it four months earlier than I did. The next chapter takes the pension specifically, and the survivor-benefit question a QDRO alone doesn't answer.

## Chapter 12: The Pension Question I Hadn't Asked

Celia stopped with her pen above the paragraph about Russ's pension. I had been looking at the division of property, checking whether the draft said what I thought we'd agreed. She was looking for something else: what the papers said about a pension survivor benefit for me.

I couldn't answer her. I hadn't known that was a separate question.

In my head, letting Russ keep the pension meant there was nothing left for me to understand. Celia wanted to know whether the agreement also gave up a possible payment after his death, and whether we'd checked the plan's rules. We weren't choosing an answer yet.

That distinction matters. It is possible to agree about retirement income while leaving the death provision unread. I would have done it quite calmly, with my glasses on.

### **A monthly amount has conditions attached**

The Department of Labor's *Types of Retirement Plans* explains that a defined benefit pension promises a specified retirement benefit, which may be calculated from salary and service. A 401(k), by contrast, is a defined contribution account: its value reflects contributions and investment results. The pension paragraph in your agreement therefore needs more than the sort of balance-and-percentage discussion you used in Chapter 11.

Here, pension means that defined benefit promise. Ask the administrator what kind of plan you have. The Labor Department identifies cash balance pensions as defined benefit plans too, even though their statements can display an account-style balance.

An estimate of monthly income needs a date and a payment form beside it. Ask whether it assumes the employee stops working now or continues earning service, and whether it assumes payments begin at a particular retirement age. Ask whether it is payable only during the employee's life or includes payments after death. These aren't details to fill in after you compare offers. They tell you what the offer contains.

Bring the service dates from your Chapter 10 inventory, without trying to calculate your legal share from them. State law varies and determines the divisible marital or community interest; plan terms and pension law determine how an award can be paid. Have your attorney identify the governing state rule and its official statute or court guidance. My Arizona divorce is not a formula for yours.

A monthly estimate is also not a lump sum you can subtract from a brokerage balance. If someone proposes that you give up a pension interest in exchange for another asset, have an independent pension valuation professional examine the proposal with your attorney. Timing, payment conditions and death protection affect that comparison. Simple multiplication cannot price a lifetime promise.

## **While alive and after death are different promises**

A pension survivor benefit is a payment to someone else after the employee dies. The Labor Department's *QDROs: The Division of Retirement Benefits Through Qualified Domestic Relations Orders*, in its drafting chapter, treats retirement benefits and survivor

benefits separately for exactly this reason. Dividing the first does not answer how the second should be assigned.

There are two death situations to check: death before retirement payments begin, and death after they begin. Protection in one situation is not an answer about the other. Ask the administrator to describe both in writing, using the actual plan documents, not a general benefits brochure.

The Pension Benefit Guaranty Corporation gives a useful, concrete explanation in its *Drafting a QDRO* guidance, updated April 23, 2026. For pensions it administers as trustee, it describes a qualified pre-retirement survivor annuity, or QPSA, for death before payments start. It also describes a qualified joint-and-survivor annuity, or QJSA, whose survivor portion concerns death after payments start. You don't need to speak in those initials. You do need to recognize which situation the document is addressing.

PBGC also explains that a QDRO can assign all or part of available survivor benefits to a former spouse. It tells readers to establish who is already entitled and to address the assignment expressly in the decree and the QDRO. A sentence dividing monthly retirement payments should not be treated as confirmation that survivor protection has been arranged.

PBGC's implementation guidance applies to plans it has taken over as trustee, not every pension. Your administrator must identify the provisions and requirements in your plan. The ERISA scope distinction from Chapter 11 still applies; governmental and church plans may follow different rules.

Nor should you assume divorce erases an existing survivor election, or assume that it preserves one. The PBGC guidance warns that earlier elections, waivers and spousal consents can affect who is entitled. Give counsel those documents, including any order involving another former spouse. Ask what divorce changes under the law and the plan that actually govern you.

The beneficiary-form sweep in Chapter 19 is a different task. Don't substitute a new form for resolving the pension rights in the settlement.

## **Sharing a payment or receiving a separate interest**

The words used to divide a pension can describe quite different arrangements. PBGC's 2026 drafting guidance explains a shared payment approach and a separate interest approach. Use these as names for questions, not as instructions to select an option without the plan's answer.

Under a shared payment arrangement, your award comes from the employee's payments as they are made. The practical question is what happens if those payments have not started, or stop. For a PBGC-trusteed pension, its guidance says you receive no shared retirement payments if the participant never begins receiving benefits. Survivor provisions must be examined separately. Don't budget as though an expected retirement date is confirmed.

A separate interest arrangement gives you an independent right to an assigned portion of the retirement benefit. PBGC explains that this can allow a different starting time and payment form from the employee's, within its rules. It is not permission to take the benefit whenever you please, and it is not automatically a cash account that you can withdraw.

There is a sharp timing limit in PBGC's example: a separate interest QDRO is not available after the participant begins receiving benefits from PBGC. Once payments have started, PBGC can qualify only a shared payment approach. Other administrators must explain their own permissible arrangements and restrictions. Ask which choices are still open in your case before you negotiate around one of them.

Have the person drafting your pension order explain, in ordinary language, whose life controls the duration of your payments. Then ask what happens if you die first, if the employee dies first, and if either death occurs before your payments begin. Even with a separate interest, the treatment before your benefit starts needs checking. “Independent” is not an answer to every death question.

The QDRO process you learned in Chapter 11 carries the award into the plan. It doesn’t choose these terms for you. The pension-specific job is making sure the order addresses the payment arrangement, its start and end, and any survivor rights you intend to secure.

## **Read the smaller monthly quote before rejecting it**

A payment form that includes survivor protection can have a different monthly amount from one without it. Ask for written estimates of the available forms on the same assumptions. Don’t compare a quote for immediate retirement with another for retirement years later and attribute the difference to survivor coverage.

Here is a made-up 2026 illustration, not a plan quotation or a recommended division. Suppose a pension’s single-life form would pay the employee \$2,400 a month. Suppose a form including survivor protection would instead pay \$2,160 a month, with the same starting date. Those are assumed inputs. The plan, not this arithmetic, determines its actual quotes and survivor terms.

The difference in the total monthly pension is  $\$2,400$  minus  $\$2,160 = \$240$ . Across a full year of payments,  $\$240$  multiplied by 12 =  $\$2,880$ . That tells you the difference in retirement payments under these assumed quotes. It does not value the survivor protection or say which form is better.

Now suppose the hypothetical agreement awards you 40 percent of each retirement payment under a shared payment arrangement. That percentage is another assumed input, not a state-law entitlement. Without survivor protection, your monthly share would be \$2,400 multiplied by 0.40 = \$960. With the quoted survivor form, it would be \$2,160 multiplied by 0.40 = \$864.

Your difference would be \$960 minus \$864 = \$96 a month. Over a full payment year, \$96 multiplied by 12 = \$1,152. These are gross retirement amounts before taxes or other deductions. No survivor payment amount has been assumed. That requires the plan's separate explanation of what is payable after death and what share, if any, your order assigns to you.

I would not dismiss the smaller quote merely because it is smaller. I also would not buy protection I hadn't understood. Ask who bears any reduction and how the order expresses that allocation; our illustration simply assumes the retirement payment is reduced before your percentage is applied. Your arrangement could be different.

## **An election already made changes the conversation**

Find out whether retirement payments have actually begun. A stated retirement intention, a signed election and a first payment are not interchangeable facts. Ask for the annuity starting date, the elected payment form, any survivor designation and any signed waiver or consent. Counsel can request records you cannot lawfully obtain yourself.

PBGC's April 2026 drafting guidance says that after the participant has elected a benefit form and begun receiving payments, the named beneficiary and survivor benefits cannot be changed. That is a specific warning for PBGC-trusted pensions, not a blanket

description of every employer or government plan. It shows why “we’ll fix it after the divorce” can be a dangerous negotiating assumption.

If payments have begun, don’t decide from that warning that you have no rights. Existing rights, available divisions and remedies require an examination of the election, the plan and governing law. Call your divorce attorney, and ask whether a pension-order specialist is needed. If retirement is imminent, tell counsel the actual date rather than saying it is coming “soon.”

Pay for that help before signing: an award can omit death protection or use an unavailable payment form. Your attorney handles the legal entitlement; a specialist can help draft pension provisions the administrator can implement. A phone representative’s explanation does not settle the legal question.

If someone asks you to sign a survivor waiver, take the entire document to counsel before acting. Ask what payment would be surrendered, who would receive it instead, and whether the choice can later be changed. You need an answer tied to your papers, not an assurance that waivers are standard.

## **The Social Security question Bonnie raised**

Bonnie, my choir friend, pointed out that a divorced-spouse Social Security benefit might be available without reducing Russ’s own benefit. I had assumed one person’s check had to come out of the other’s; SSA’s guidance says it doesn’t. Under SSA’s rules checked in October 2026, the retirement route generally requires a marriage lasting at least ten years, a finally divorced claimant who is unmarried and at least 62, and an application. SSA checks the worker’s insured status, age and benefit entitlement, and compares the claimant’s own-record entitlement with the divorced-spouse benefit; a higher own-record entitlement can mean no additional

divorced-spouse payment. If the worker is already entitled to retirement or disability benefits, the two-year divorce wait is not a general requirement. If the worker has not filed, the independent route requires a fully insured worker at least 62 and at least two continuous years of final divorce, along with the claimant's other requirements. Confirm your exact dates and eligibility at [SSA's family eligibility page](#); its detailed rules are in POMS RS 00202.005. For claiming-age decisions, use *Social Security, Claimed On Purpose*, the companion 2027 guide. This is a separate federal benefit question, not a pension share your attorney can bargain into the settlement.

## Five pension questions before you sign

Put the pension's full legal name at the top of a sheet, with the administrator's contact and the date of the estimate you're using. Then take these five questions to your attorney. Ask which answers require written confirmation from the administrator.

- 1. What exactly am I being awarded or giving up?** Identify the state-law retirement interest, any survivor rights, the calculation dates and the pension order provisions that carry out the agreement.
- 2. Which payment arrangement can this plan implement now?** Ask whether payments have begun, whether shared payment or separate interest is available, and what determines your starting date and payment duration.
- 3. What would I receive if the employee dies before retirement payments start, and after they start?** Have both situations answered, with the assigned survivor amount or method, eligibility conditions and any existing competing rights identified.

4. **What are the written estimates for the available payment forms?** Require matching starting-date and service assumptions, and an explanation of any reduction, who bears it, and whether the amounts are gross or net.
5. **What must be done before the decree, an election or a waiver to preserve the intended rights?** Record the actual deadlines, who drafts and submits the necessary order, and how you will obtain confirmation of the pension and survivor provisions accepted by the plan.

Leave room under each question for the answer and the document that supports it. “Asked” is not the same as “answered.” If the response refers to a plan section, keep that section with the estimate. If it says an option is unavailable, have counsel explain what that does to the proposed agreement before you accept a substitute.

Before your next signing appointment, put the retirement estimate and the survivor provisions beside the draft decree. Mark the place that answers what happens after a death. If you can’t find it, that is the question to bring through the door.

## **Chapter 13: The House Has a Yearly Price**

The air conditioner stopped in July. I stood under the kitchen vent with my hand raised, waiting for something cooler than the room to come out. Nothing did. The replacement cost me \$4,180 in 2020. Later came the roof.

I had kept the family house in Gilbert. The draft in Chapter 11 had left it with Russ; that changed before the final settlement. I wanted to stay where I knew the light switches and where my piano fit. In 2019, those seemed like solid reasons. They weren't a budget.

Two years after the divorce, I sold. The patio home I bought in Mesa in 2021 suited the life I was living. Those repair bills hadn't proved that owning a house was foolish. They had proved that I hadn't priced this one properly.

You can love a house and still need to sell it. You can also keep it, provided the numbers support keeping it. I don't want to talk you out of your kitchen. I want you to know what it asks of you after everyone else has left.

### **Separate the address from the offer**

Write down what staying would preserve: proximity to work, a room you use to earn income, neighbors you can call, space for family. These benefits belong in a financial discussion.

Ask which benefits require this particular house. A familiar neighborhood may be available from a smaller rental nearby. A piano needs a room, but not necessarily its old room. Moving farther away

might create transportation costs or take you away from help. Put those differences into the comparison.

The wrong advice here is that you must keep the house for stability. Stability that depends on ignoring an insurance renewal is fragile. The opposite advice, that you must sell because you're single now, is no better. A paid-off house with manageable costs and suitable space can make sense. Paid off does not mean free to occupy.

The legal share is a separate question. State law varies on property division, separate contributions and what a court can order. California Courts' *Property and debts in a divorce*, for example, distinguishes community, separate and mixed property interests. A house bought with funds from different sources may need more examination than its address and current value suggest.

That California guidance isn't the rule for every state, and my Arizona settlement isn't yours. Using the title and acquisition records from Chapter 10, have your attorney identify your state's official court guidance or statute and determine what interest is being divided. Don't turn an equal-share illustration below into your own legal entitlement.

Include what you would give up elsewhere in the settlement. The pension valuation caution from Chapter 12 applies even when the proposed exchange is a house.

## **Build the year, not the mortgage payment**

Start with costs under the proposed arrangement. If keeping the house requires a new mortgage, the old payment is not your number. If you will hire someone for work your spouse used to do, price that work too.

The Consumer Financial Protection Bureau explains the distinction between principal and interest and the total mortgage

payment. Your lender's total can include mortgage insurance and an escrow payment for property taxes and homeowners insurance. Association dues may be separate.

Read the statement's breakdown. For the worksheet below, put principal and interest on the first line, taxes and property coverage on their own lines, and any mortgage insurance with financing rather than property coverage. If you start with the full payment that already includes escrow and add the tax and insurance bills again, you have counted the same costs twice.

For taxes, obtain the current bill from the local taxing authority and ask whether a change of ownership or household status affects your assessment or any exemption. For insurance, request a quote for the proposed ownership and occupancy. Don't assume the old policy or premium follows you unchanged. Ask what coverage and deductibles would apply, including any separate coverage your property needs.

Use a full year of utility bills rather than the comfortable month you remember. Check association notices for assessments already announced. Price the routine work you won't do yourself, from cleaning gutters to servicing equipment.

There is no national repair allowance here. Ask qualified tradespeople about the roof and equipment and obtain written estimates for approaching work. A percentage of the house's value can't tell you whether your air conditioner will survive the summer. Treat uncertainty as a reason to keep cash available, not as permission to enter zero.

### ***The true cost of keeping the house***

Put the property address, estimate date and budget year at the top of a sheet. These five lines are a cash-funding plan, not a tax worksheet or a calculation of investment return. Beside each amount, note the bill or quote that supports it and anything still unconfirmed.

1. **Financing for the year.** Proposed monthly principal and interest multiplied by 12, plus mortgage insurance if applicable. Use zero for principal and interest only if no loan will remain or be needed for the settlement.
2. **Property taxes.** The annual amount expected under your proposed ownership, checked with the taxing authority; don't add it again through escrow.
3. **Property coverage.** Annual premiums for the coverage you need. Note the deductible separately as a possible cash demand, not a premium already paid.
4. **Running the property.** Utilities, association dues and known assessments, plus routine maintenance or services you will pay for. Keep the component amounts beside the combined line.
5. **Repairs and replacements.** Cash you need to set aside this year for identified work and uncertain failures. Show any urgent bill and your starting repair cash beside this line. Money already reserved is not another year's expense.

Add the annual amounts, then divide by 12 for a monthly funding equivalent. Keep one-time buyout and refinancing cash outside that total.

Here is an invented 2026 example. None of these inputs is a national price, a lender quote or my repair history. Assume principal and interest of \$1,350 a month, with no mortgage insurance. The annual financing line is \$1,350 multiplied by 12 = \$16,200.

Assume annual property taxes of \$3,600 and property coverage of \$1,800. Running costs are \$3,300 for utilities, \$600 for association dues and \$1,500 for routine maintenance:  $\$3,300 + \$600 + \$1,500 = \$5,400$ . There are no additional known assessments in this example. Assume another \$4,000 will be set aside for repairs and replacements.

The full-year funding total is  $\$16,200 + \$3,600 + \$1,800 + \$5,400 + \$4,000 = \$31,000$ . Dividing  $\$31,000$  by 12 gives about  $\$2,583.33$  a month, rounded to cents. That is the housing amount to carry into Chapter 20, not the assumed principal-and-interest payment.

Some principal repayment builds equity, and money reserved for repairs may remain unspent, but both require cash in this funding plan that you can't also use for groceries. This total excludes your other living expenses and any one-time settlement costs.

An annual allowance does not answer whether you can pay a bill tomorrow. In a separate stress test for this 2026 example, suppose you start with  $\$6,000$  of repair cash and face an immediate  $\$12,000$  roof invoice. The gap is  $\$12,000$  minus  $\$6,000 = \$6,000$ . Future monthly savings do not fill it today.

If that repair will actually be paid this year, revise the repair line and the timing of the cash. Don't count both the full invoice and a reserve intended to pay that same invoice. Leave any funding for other possible failures separately identified. A worksheet that works only when everything happens in December needs another pass.

## **A buyout can change the loan completely**

Keeping the house may require compensating your spouse for an agreed interest. Identify where that money comes from. Cash paid to your spouse won't be available for the first repair.

Use a separate invented 2026 property example. Assume an agreed value of  $\$480,000$  and a mortgage payoff of  $\$180,000$ . Gross equity is  $\$480,000$  minus  $\$180,000 = \$300,000$ . That is a starting balance-sheet figure, not sale proceeds and not a finding that you each own half.

Suppose this keep-house proposal calls for a  $\$150,000$  cash buyout. That amount is an assumption about the agreement. If you

need to borrow the entire buyout and refinance the old mortgage,  $\$180,000 + \$150,000 = \$330,000$  is needed before loan costs.

If another \$6,000 of loan fees would be financed, the proposed new principal becomes  $\$330,000 + \$6,000 = \$336,000$ . Financing those fees is itself subject to lender acceptance. Prepaid items or initial escrow funding may create additional cash needs; have the lender show where each amount is paid.

That loan is unrelated to the worksheet's assumed \$1,350 payment. Obtain its actual terms and rebuild the financing line; the balance, rate and repayment period determine the new commitment.

Freddie Mac's *Planning to refinance* explains that a refinance replaces your current mortgage with a new loan. For a proposal that removes your ex through refinancing, have the lender confirm who will borrow on the replacement loan and how the existing loan will be paid off. Have counsel and the closing professional coordinate the deed and buyout with the financing. Don't transfer an ownership interest on the strength of a casual promise that the loan will be handled later.

You can also ask the existing servicer whether this particular loan permits an assumption and an express release of the departing borrower, without assuming either is available or a title transfer accomplishes both. Chapter 14 handles the remaining debt-liability question; here, the point is whether a workable financing arrangement exists for keeping the house.

## **A quote is not approval**

Before agreeing to a refinance deadline you haven't tested, explain the proposed settlement to lenders and ask which income records and property documents they will need to evaluate it. Ask how they would evaluate support payments or retirement income you expect to use, rather than treating either as automatically acceptable.

The CFPB says debt-to-income limits differ across loan products and lenders. There is no single qualification percentage here. And qualification isn't comfort: the lender's review doesn't build your allowance for replacing appliances or paying for health coverage.

For a refinance covered by the standard disclosures, ask for a Loan Estimate. The CFPB's *Loan Estimate Explainer* shows the loan amount and term, projected payments, estimated closing costs and estimated cash to close. Compare offers on matching borrowing amounts and terms, and ask what is included in each payment.

The CFPB also states that receiving a Loan Estimate does not mean your application has been approved or denied, so ask what conditions remain before closing and when a rate lock expires. A friendly conversation is not evidence that your buyout money will be ready on the date in the agreement.

Read the repayment period alongside the payment. Freddie Mac warns that extending a mortgage's term can increase total interest paid. Ask for a comparison over your intended holding period, including fees and remaining balances. A lower payment produced by more years of borrowing has bought breathing room; it hasn't necessarily bought a cheaper house.

If neither spouse can qualify for the required financing alone, a promise to try again later isn't a completed solution. Ask your attorney about a sale or another legally workable arrangement. If temporary shared ownership is proposed, counsel should address payment responsibilities, occupancy, repairs and a definite exit mechanism. Don't assume a court will approve your preferred terms.

Call your divorce attorney before signing the house provision, especially if qualification is uncertain or either of you refuses to cooperate, because counsel needs to address the legal consequence if financing fails. Ask a CPA to review a proposed sale or asset exchange before you commit, so the comparison includes tax consequences rather than only cash at closing.

## **Sale proceeds aren't the number on the listing**

Ask the real estate professional or closing agent for a written seller net estimate at a defensible price. It should account for loan payoffs and all expected selling charges, including agreed compensation, fees and any buyer credits. Use actual terms, not an assumed universal commission rate.

Return to the separate 2026 property example: \$480,000 value, \$180,000 payoff. Suppose a sale actually closes at \$480,000 and total selling charges and credits are \$30,000. The cash before income tax is \$480,000 minus \$180,000 minus \$30,000 = \$270,000.

If this hypothetical agreement divides that net amount equally, each share is \$270,000 divided by 2 = \$135,000. The equal division is assumed, not prescribed by state law. This sale calculation also doesn't establish what costs a keep-house buyout must deduct; that's a separate negotiating and legal question.

That \$270,000 is a proceeds calculation, not a calculation of taxable gain. IRS Publication 523, *Selling Your Home*, explains the tax rules; Chapter 17 covers them. Have your CPA examine the proposed sale dates before you count the entire share as spendable.

Replacement housing needs its own estimate. Still within this invented 2026 example, suppose your \$135,000 share must cover \$5,000 of moving and temporary housing and \$45,000 of down payment and purchase costs for a replacement home. That leaves \$135,000 minus \$5,000 minus \$45,000 = \$85,000 before any income-tax reserve or other settlement obligations.

Renting instead may preserve more cash initially, but deposits, moving expenses and monthly rent still belong in the comparison. Obtain real quotes for the places you could actually live. Compare their full housing costs with the five-line total, not rent with principal and interest alone.

## **Give waiting a price and an end date**

Ask a local real estate professional for recent comparable closed sales and a realistic price range, accounting for the property's condition. An online estimate is a starting question, not an agreed valuation. Neither tells you what a future buyer will pay.

If waiting is proposed, price the delay. Identify the additional interest, taxes, insurance and upkeep, any overlapping housing cost, and work needed before listing. Distinguish those costs from principal repayment and repair money that merely stays reserved. Don't subtract the entire cash-funding worksheet from a hoped-for price increase as though every dollar were an expense.

Then have counsel connect the plan to the decree or settlement. Ask who chooses the agent, who approves a price reduction, who pays carrying costs, and how necessary repairs are authorized. Ask what happens if one person won't sign or if a refinance attempt fails. Those are drafting questions under your state's law, not instructions to impose a private deadline yourself.

If the sale will happen after the divorce, ask how the agreement covers occupancy and the route to closing. If it will happen before, ask what permissions or existing orders govern the listing and use of proceeds. Give the proposed dates to your CPA too, because moving the sale across the decree date is a decision to review with your own records, not a tax shortcut to assume.

Don't postpone a call about a court deadline or threatened missed payment while trying to find the perfect selling season. My preference is for a bounded plan with a fallback, not a plan that depends on a better market arriving before the next bill.

Before the next settlement meeting, write the yearly housing total beside the proposed cash buyout and the cash left afterward. Put the unanswered lender question underneath. Take that sheet with you, even if you still want the house.

## **Chapter 14: Equal Balances, Unequal Money**

Two statements sit beside a proposed agreement. One shows cash. The other shows shares bought years ago. The totals match, and someone has drawn a neat line between them: one account for each spouse.

Your calculator agrees. You put it down.

Pick it up again after you find the purchase records. Equal balances can carry different future tax bills. And the credit card assigned to your ex on the next page may still have your name on the lender's contract. Both differences belong in the discussion before you sign.

The paper division can leave you with less spendable money and a debt the lender still expects you to pay. You don't have to become an accountant to notice. You need a sheet that keeps the missing information visible.

### **Put the whole offer on one dated sheet**

Use the inventory from Chapter 10 rather than starting another search. This time, bring the assets and debts together so you can examine a proposed division. A marital balance sheet is a working record of what might be divided, not a declaration that every item on it legally belongs to both of you.

Put disputed ownership on the sheet too. Label it disputed. State law varies on separate property, mixed contributions, valuation dates and responsibility for debts. The state-law classification caution from

Chapter 13 applies to the other assets as well. Ask counsel which local statute or official court instructions govern, and have the disputed entries reviewed against those rules. An account's title alone isn't the analysis.

Choose a common comparison date with your attorney, then show the actual statement date beside each figure. If an investment statement is old, don't quietly compare it with today's loan balance. Ask for an updated value. Keep the agreed legal valuation date distinct from the date you are checking whether the proposal still works financially.

For a taxable brokerage account, request the holdings and adjusted basis, not just its total. For a car, list its defensible current value and its loan separately. For household property, distinguish a possible resale price from what you paid to buy it. A receipt for a new dining table doesn't show what someone would pay for the used one.

Record retirement assets by tax category, using the work from Chapters 11 and 12: tax-deferred, Roth with conditions to check, or another category the CPA identifies. Bring the house result from Chapter 13. Examine the entire exchange, not just its most attractive item.

A missing basis or unresolved business value stays marked unknown, with a note naming the document needed and who will request it. A total with an unresolved value isn't finished.

## **The old purchase price follows the shares**

IRS Publication 504, *Divorced or Separated Individuals*, explains that property transfers between spouses, or between former spouses when incident to divorce, generally produce no recognized gain or loss. The same publication says the recipient takes the transferor's adjusted basis. The edition available when checked in October 2026 is for 2025 returns, not a published 2026-return edition.

IRS Publication 550's *Stocks and Bonds* section explains that basis for purchased shares generally begins with purchase price and purchase costs, then changes for specified events. The resulting adjusted basis is used to determine gain or loss on sale. It isn't today's statement balance.

The divorce transfer does not generally reset that basis to market value. If your spouse transfers appreciated shares to you in a qualifying transfer, you receive their existing tax history along with the shares. A later sale can realize the appreciation that accumulated before you owned them individually.

"No recognized gain on the transfer" is not a promise about tax on the eventual sale.

Have your CPA confirm that the proposed transfer qualifies as incident to divorce. Publication 504 sets timing and relationship-to-divorce requirements and lists exceptions, including a transfer to a nonresident alien spouse, certain trust transfers and certain stock redemptions. A delayed transfer or an unusual arrangement needs review, not a casual assumption that any payment connected with an ex is covered.

Also distinguish moving shares from selling them and moving the cash. Publication 504 separately addresses sales of jointly owned property: recognized gain or loss must be reported, with each spouse's share determined under the applicable state ownership law. Ask the CPA who would report a proposed sale before anyone presses the sell button.

## **What two matching totals can conceal**

Here is an invented 2026 comparison. It is not a recommended division, a market forecast or a calculation of your tax. Assume one taxable brokerage account contains shares worth \$100,000, with verified adjusted basis of \$20,000. Another holds \$100,000 of cash.

Ignore accrued interest, trading costs and price changes for this illustration.

If the shares transfer to you under the general divorce-transfer rule, their assumed basis remains \$20,000. If you then sell all of them for \$100,000, the assumed gain is \$100,000 minus \$20,000 = \$80,000. The full sale proceeds are not the taxable gain.

For arithmetic only, assume tax equal to 15 percent of the gain. That isn't a 2026 federal or state rate for your situation. Your income, holding period and other tax facts require a CPA's calculation.

The assumed tax is \$80,000 multiplied by 0.15 = \$12,000. After setting aside that amount, the assumed sale proceeds available are \$100,000 minus \$12,000 = \$88,000. Under these deliberately limited assumptions, receiving the other account's existing cash gives \$100,000 without a sale of appreciated shares.

The difference is \$100,000 minus \$88,000 = \$12,000, despite matching statement totals. That is the assumed sale-tax cost, not a tax caused by the qualifying divorce transfer.

You might keep the shares. Future prices and your actual taxes could change the result. Ask for both the property value and the cash available under your intended sale plan; don't deduct our invented percentage from every offer.

If you need living money immediately, an offer made entirely of investments is not the same practical offer as cash already available. Tell the CPA when you expect to sell and how much you need. Tell counsel which estimates are conditional, rather than presenting an estimated future tax as an established settlement deduction.

Nor does this example tell you how to trade taxable shares against a tax-deferred retirement account. That comparison needs the actual account's tax character and intended withdrawal schedule. Have a CPA examine it before signing; the transfer mechanics from Chapter 11 don't make different dollars interchangeable.

## **Get the records for the shares you will receive**

A brokerage account can contain many purchases of the same security. Each purchase group is a tax lot. Publication 550 addresses identifying the particular shares sold or transferred. Ask which lots you will receive and how their basis and acquisition dates will be recorded.

Publication 504 requires the transferring spouse to provide enough records to determine adjusted basis and holding period at the transfer date. Have counsel address delivery of those records. Request them before negotiating around a basis figure.

If a statement shows no basis, don't substitute current value or zero. Give the CPA purchase and transfer records you can lawfully obtain; counsel can request missing history through disclosure.

Ask the receiving brokerage how it will confirm the holdings and basis after transfer. Save its confirmation with the source records. If the entries don't match, raise the discrepancy before a planned sale. Your document folder should explain the number, not merely contain a screenshot of it.

If the proposed holdings are concentrated in one company, flag that alongside the tax estimate. Ask a qualified adviser about the investment risk and a CPA about the cost of changing the holdings. Don't accept a familiar company name as a substitute for examining what would happen to your spending plan if its price fell.

## **Stop at the business interest or the stock award**

Restricted stock, stock units, options and deferred compensation need their actual award documents. An employer portal's headline value doesn't answer when a benefit becomes available, whether it can be transferred, what conditions could prevent payment or who will owe tax. Ask counsel to obtain the grant agreements and applicable plan terms.

Publication 504's property-transfer guidance specifically distinguishes income treatment for nonstatutory stock options and nonqualified deferred compensation. That is a warning against treating every employment award as ordinary purchased shares, not permission to apply one tax result to every award with stock in its name.

Have your attorney bring in a valuation professional experienced with the asset and a CPA before you accept an exchange involving these benefits. They need to identify the divisible interest under your state law, price what is actually available and establish the tax treatment. You can gather the papers. Don't supply the missing valuation yourself.

The same boundary applies to a closely held business: a company interest without a ready public market. A percentage of ownership is not a price. The company's bank balance isn't a value you can multiply by that percentage, and annual revenue isn't cash the owner can withdraw.

Give the professionals the ownership agreements, financial statements, tax returns and relevant debt records. Ask which restrictions, valuation date and ownership rights their analysis uses. If someone proposes that your ex keep the business while paying you later, have counsel examine that payment promise separately from the business value. An installment you hope to receive is not money already in your account.

Record any personal guaranty — your promise to answer for a business debt — as potential exposure, not automatically an extra debt to subtract. Ask counsel whether it remains enforceable and what would release it. Receiving no business ownership doesn't establish release.

## Match every debt to its contract

The Federal Trade Commission's *How To Get Out of Debt* distinguishes unsecured debts, such as ordinary credit card balances, from debts secured by collateral, such as a house or car. Collateral is property supporting the lender's claim. With secured debt, ask counsel what rights the lender has against that property as well as against the borrowers.

An unsecured card isn't harmless because no car is attached to it. A secured car loan isn't solved because your ex will drive the car. Record the people on the borrowing agreement separately from the people on the title and the person receiving the asset.

In a separate invented 2026 example, suppose a car is worth \$24,000 and the loan payoff is \$29,000. Its net position is \$24,000 minus \$29,000 = negative \$5,000. Awarding the car doesn't produce \$24,000 of debt-free property. Ask the lender and counsel how the loan would be addressed, including any shortfall in a proposed sale.

Use gross values with separate debts, or clearly identified net values. Listing the car at \$24,000 and subtracting its \$29,000 loan already gives negative \$5,000; don't enter that net figure again. If a professional uses net values, ask which debts are included.

The distinction between your decree and your lender agreement is the hard part. A decree assigns responsibility between spouses; it is not itself a lender's release of someone who signed its contract. California Courts' *Common challenges when splitting debt* gives a concrete example: a creditor need not honor the spouses' payment agreement, and missed payments on joint debt may affect both borrowers' credit.

That guidance is a verified California example, not a determination of your personal liability. State law and the contract matter. Put this question to your attorney for every lingering debt: "Under this agreement and my state's law, can the lender still

demand payment from me after the divorce?” Ask the creditor to confirm your recorded borrower status and what documents would change it.

Don’t infer your status from possession of a card. Joint borrowers, cosigners and authorized users are different categories to investigate. Ask the issuer which you are, then have counsel assess your exposure. Debt in only your spouse’s name also belongs in the legal review if state marital-debt rules could affect you; a missing signature isn’t a universal answer either.

The mortgage from Chapter 13 needs this contract check too. Don’t treat a deed changing ownership as a borrower release; give counsel the loan documents and the servicer’s written answer.

## **Count a release only when it is completed**

Discuss payoff, refinancing into the responsible person’s name or a formal creditor-approved release with counsel and the lender. Availability depends on the account and approval. Each proposed route needs evidence that it happened, not merely an obligation in the decree to try.

For payoff, obtain the lender’s current payoff instructions and confirmation afterward. For refinancing, confirm that the replacement borrowing actually paid off the old joint obligation. For a formal release, get the creditor’s written release and have counsel check whether it covers the existing balance as well as future borrowing.

Closing a card to new charges and removing liability for its existing debt are separate questions. Ask the issuer about both. A replacement card number, a changed mailing address or removal from online access isn’t the document proving release.

If a joint debt must remain temporarily, have your attorney address who pays, how you receive lawful payment confirmations

and what happens at a missed payment or failed refinance. Ask about enforceable reimbursement provisions and remedies in your state. They may protect rights between the two of you; don't describe them as protection that automatically stops a creditor.

Get the payment date and monitoring arrangement into the written plan. Your ex's promise may be sincere. It still isn't a creditor's release.

## **If your ex misses the assigned card payment**

Keep the creditor problem and the family-court problem separate. You may need to address both. California's court guide warns that going back to family court about an ex's payment agreement may not fix credit reporting or stop creditor calls. Ask your own attorney what enforcement is available; don't assume that example supplies your state's procedure.

Use this response sequence for a joint account still connected to you:

### **1. Confirm the facts through the creditor's official contact.**

Use your statement or the institution's verified site. Ask about the balance, payment status, due date and your borrower status. Save the statement and call notes.

**2. Send the notice and relevant decree provision to counsel promptly.** Ask about your contractual exposure, available enforcement and whether an immediate payment is appropriate. Do not ignore a court notice while waiting for an answer from your ex. If the next payment is due before counsel can answer and you are responsible under the creditor agreement, ask counsel urgently and arrange an on-time payment you can afford; keep proof and pursue any reimbursement separately. If you dispute liability, ask counsel before acknowledging or paying a possibly time-barred debt.

3. **If payment is needed but you cannot afford it, contact the creditor about available arrangements.** The FTC advises contacting creditors rather than waiting for collection. Obtain any proposed terms in writing and discuss them with counsel before accepting new liability.
4. **Check credit reporting and preserve the evidence.** The CFPB's *How do I dispute an error on my credit report?* directs consumers to contact both the reporting company and the company supplying the information when an error appears. Identify the actual error and keep supporting copies.

An accurate missed payment doesn't become inaccurate because your ex violated the decree. Don't file a false dispute claiming the debt was never yours. If responsibility is genuinely disputed, have counsel help you state the facts; if you pay to protect yourself, preserve proof and ask about reimbursement without assuming you will recover it.

## The one-page balance sheet

Write the comparison date and proposal date at the top, with supporting records behind the sheet. Continue on another page if needed. Leave unknowns visible.

- **For each asset:** description and institution, market value and date, adjusted basis if known, named owner or title, tax character, proposed recipient and any disputed legal interest. Mark business or pension valuations requiring professional work.
- **For each debt:** creditor, balance and date, secured or unsecured status, collateral if any, names and roles on the contract, assigned payer under the proposal or decree, and the attorney's answer about continuing lender rights.

- **For each unfinished transfer or release:** action required, person responsible, deadline, evidence still needed and where the completed confirmation will be saved. Keep estimated sale taxes and costs separate from current debt balances.

Add asset values and subtract debts counted only once. Label that result a current balance-sheet total before estimated taxes and transaction costs, not the money you can spend. Beside your proposed share, identify what is available now, what needs a sale and what depends on someone completing paperwork or making later payments.

Before the next meeting, circle one unknown basis and every debt that would remain tied to you. Put the CPA's name beside the first and your attorney's beside the debts. Leave the circles there until an answer arrives.

## **Chapter 15: A Number, a Date, and What It's Worth After Tax**

Somewhere in the draft there is a paragraph with a dollar amount and a number of months in it. Support. One line, after pages about the house and the accounts.

The first question most people ask about that line is whether the amount is enough, or too much. Fair question. It isn't the first one.

Ask instead what the payment is worth after tax, who decides whether it continues, and what makes it stop. Those three answers can move the real number more than another round of arguing about the amount.

### **The word your state uses may not be the word the IRS uses**

Your court papers may say spousal support, maintenance, or spousal maintenance. California's self-help guide, for example, calls it spousal support and notes the term alimony means the same thing there. Which word appears in your order is a matter of your state's law and your court's forms.

Federal tax law uses alimony or separate maintenance. The two vocabularies do not always line up, and a payment called support in a state order is not automatically alimony for federal tax purposes.

IRS Topic 452 lists what has to be true for a payment to be alimony or separate maintenance federally. The spouses don't file a joint return with each other. The payment is in cash, including checks and money orders. It is made to or for a spouse or former

spouse under a divorce or separation instrument. If the spouses are legally separated under a decree of divorce or separate maintenance, they aren't members of the same household when the payment is made. There is no liability to make a payment, in cash or property, after the recipient spouse's death. The payment isn't treated as child support or a property settlement. And the instrument doesn't designate the payment as not alimony.

That last requirement surprises people. Under Publication 504, spouses can include a provision stating that otherwise qualifying payments aren't alimony, and a recipient who excludes them has to attach a copy of that designation to their return each year it applies. The document can decide the characterization.

Use that list to mark questions, not to classify the payment yourself. Have your family-law attorney and CPA review the actual proposed instrument together before you sign; the heading on the form does not settle the federal treatment.

## **What it isn't**

Child support is a different thing with different rules. The IRS says plainly that child support is never deductible and isn't considered income to the person receiving it. Publication 504 adds a trap worth knowing if your instrument predates 2019 and calls for both: when the payer pays less than the total required, the payments apply to child support first, and only the remainder is treated as alimony.

A property settlement is also a different thing. Chapter 14 covered the transfer side of that, where a qualifying divorce transfer generally produces no recognized gain or loss and carries the old basis along with it. Support is a stream of payments. Property division is a one-time allocation of what you already own together. They trade against each other at the negotiating table, and they are not the same asset.

Topic 452 lists several payments that are not alimony even when they appear in a divorce file. Child support. Noncash property settlements, lump sum or installments. Payments that are a spouse's part of community property income. Payments to keep up the payer's own property, or the use of that property. And voluntary payments, meaning payments not required by an instrument.

Voluntary is the one I'd underline. Money handed over because it seemed decent, outside any order or written agreement, doesn't get alimony treatment, and depending on your state and your order it may not count toward anything either. If you intend a payment to have legal effect, it belongs in a document.

## **Who decides, and on what**

There is no national alimony formula. Whether support is awarded, how much, for how long, and whether it can be changed later are questions of the law of the state that governs your case and of the terms your order ends up containing.

I know how unsatisfying that is when you want a number. I'd rather give you an unsatisfying truth than a tidy answer that doesn't govern your case.

California publishes a useful example of what the inside of that decision looks like. Its courts' guide distinguishes temporary support, ordered while the case is pending, from long-term support ordered at the end of the case. It also says many marriages and domestic partnerships end without either spouse paying long-term support.

For long-term support, that guide says there is no math formula. The judge must weigh a list of statutory factors. Length of the marriage. Each person's age and health. Incomes, and earning capacity including the time and cost of gaining skills. The marital standard of living. The property and debt each person has. Whether

one spouse helped the other get an education or a license. Need and ability to pay. The impact of tax law on support. Any history of abuse during the marriage.

On duration, the same guide states an assumption for shorter marriages: support will last half the length of the marriage. For marriages longer than ten years it says there is no such assumption. Support may then last as long as one spouse needs it and the other can pay.

That is California's framework. It is not the rule where you live, and I am not offering it as a prediction for you. I'm offering it because it shows the shape of the question: a list of factors, a judge with discretion, and no arithmetic that produces the answer.

So get the framework that actually governs you. Ask counsel whether the governing jurisdiction uses a guideline calculation, a factor-based discretionary standard, or different approaches for temporary and long-term support. Ask where that rule is published. Then ask what the orders in your court have looked like for situations resembling yours, understanding that an answer about the past is not a promise.

The honest headline here is that a long marriage does not entitle you to long support everywhere, and a comfortable marital standard of living is no assurance that it will be maintained. Two households cost more to run than one did. Chapter 20 does that arithmetic without comfort.

## **The date on the instrument changes the tax**

This is the part where a reader can save or lose real money by understanding one date.

For divorce or separation instruments executed after December 31, 2018, Publication 504 says the payer gets no deduction for alimony and the recipient leaves it out of gross income. For

instruments executed on or before that date, the older treatment still applies: deductible by the payer, reportable as income by the recipient.

A pre-2019 instrument can be pulled into the new treatment, but only in a specific way. Publication 504 says the post-2018 rules apply to alimony under an instrument executed before 2019 and modified after 2018 if the modification expressly states that the alimony isn't deductible to the payer or includible in the recipient's income. A modification that merely changes the amount doesn't do it. The publication's own example describes a 2016 decree modified in 2025 to increase the monthly payment, where the modification said nothing about the repeal, and the result is that all the payments made that year stayed deductible and taxable under the old rules.

The timing can also split a single year. In another Publication 504 example, where the modification does expressly adopt the new rules partway through the year, payments before the change keep the old treatment and payments after it get the new one.

And the operative date is the date of the instrument the payments are actually made under. Publication 504 describes a written separation agreement executed in October 2018 that, under the law of that state, survived the divorce as an independent contract and was deliberately not merged into the later decree. Payments under that agreement kept the old treatment even though the divorce decree was executed in 2025. In a different example, where the decree itself awarded the support after 2018, the new rules applied to payments made under the decree.

Three practical consequences. First, if you are negotiating now, your instrument will almost certainly be a post-2018 one, so plan on the payment being neither deductible nor taxable federally, and confirm that with your CPA rather than with a decade-old article. Second, if you have an older order and someone proposes modifying it, the exact words of the modification are a tax decision, not just a

legal one, and your CPA should see the language before it is signed. Third, state income tax is its own question. Ask your CPA how your state treats these payments, because federal treatment doesn't settle it.

One more detail for anyone living under a pre-2019 order. Publication 504 notes that taxable alimony counts as compensation for IRA contribution and deduction limits, but only for instruments executed on or before December 31, 2018 that haven't been modified to exclude those amounts. If you're still receiving taxable alimony and want to contribute to an IRA, that's a CPA question with a real answer. The same publication also describes a recapture rule that can apply when payments under a pre-2019 instrument drop sharply in the first three years. If your old order has declining payments, don't guess at that one.

## **Run the number both ways before you argue about it**

What follows is invented, dated 2026, and built only to show the arithmetic. The tax rates are assumptions rather than rates for your income, and I've used a single flat percentage where the real calculation works through brackets. Assume the payments qualify as alimony under the Internal Revenue Code and that no state income tax applies, which is a simplification, not a fact about your state.

Assume an order for \$2,000 a month. The annual gross figure is \$2,000 multiplied by 12 = \$24,000.

Take the post-2018 instrument first. The recipient includes none of it in federal gross income, so federal income tax on the payment is zero and the cash kept for the year is \$24,000. The payer takes no deduction, so the federal cost of the payment is the full \$24,000.

Now take a pre-2019 instrument that was never modified. The recipient reports the \$24,000 as income. Assume, for arithmetic

only, a 12 percent rate: \$24,000 multiplied by 0.12 = \$2,880 of assumed tax, leaving \$24,000 minus \$2,880 = \$21,120. The payer deducts the \$24,000. A deduction reduces taxable income rather than paying a bill directly, so its value depends on the payer's rate. Assume 22 percent for arithmetic: \$24,000 multiplied by 0.22 = \$5,280 of assumed tax reduction, making the net cost \$24,000 minus \$5,280 = \$18,720.

Same \$24,000 on the page. Under these assumptions the recipient's spendable amount differs by \$24,000 minus \$21,120 = \$2,880, and the payer's cost differs by \$24,000 minus \$18,720 = \$5,280.

Run it backwards too, because that is how the negotiation actually works. If the goal under the old rules were to leave the recipient with \$24,000 after the assumed 12 percent tax, the gross needed would be \$24,000 divided by 0.88, which is about \$27,272.73. The after-tax target and the gross number are not the same number, and whichever one you forget is the one that will bite.

### ***The estimate to build before your next meeting***

Write it on one sheet, with the assumption behind every line.

1. **The execution date that governs.** The date of the instrument the payments would be made under, and whether any proposed modification expressly adopts the post-2018 rules. If you don't know, that is the first question for counsel and the CPA, not a blank to fill in with a guess.
2. **Gross support for a full year.** The proposed monthly amount multiplied by the number of months payable in that year. Note separately any step-down or end date inside the year.
3. **Federal treatment under that date.** Either not includible and not deductible, or includible and deductible. Write which one, and write that the CPA confirmed it.

4. **Assumed tax, labeled as an assumption.** Your CPA's estimated rate applied to the gross, plus a line for your state's treatment. Keep the recipient's figure and the payer's figure separate; they are different calculations, not two sides of one.
5. **Net for the year, and when the cash arrives.** Gross less assumed tax, then the payment dates. Money arriving monthly isn't the same as money you have in March.

If you would receive taxable support under an older instrument, add a sixth line: estimated tax payments. Publication 504 notes that a person receiving alimony may have to make estimated tax payments, because nobody is withholding from it. A support check that feels adequate in May can feel very different in April if you've never set anything aside.

Take the sheet to the CPA before you take a position on the amount. An estimate built on the wrong execution date is worse than no estimate, because it feels like knowledge.

## **What ends it, and what can change it**

Both of these are state-law questions, and the answers belong in the document rather than in your assumptions.

California's guide again serves as an example of the kinds of endings an order can have: a written agreement about the ending date that the court signs off on, a court order ending it, the supported spouse's remarriage, or the death of either spouse. For changes, the same guide says that if the parties can't agree, the person asking must show a significant change in circumstances, and that a change in the amount can only reach back to the date the papers asking for the change were filed.

California makes the filing date important for its own modification rule. Ask your attorney whether your state uses a

similar limit, and seek advice promptly when circumstances change.

Retirement deserves its own conversation in a late-life divorce. A support obligation that was affordable on a salary may not be affordable on a pension and Social Security, and whether retiring is a basis to change the order depends on your state's law and on what the order says. Don't assume turning 67 adjusts anything by itself. Ask before you sign, and ask again before you retire.

The recipient's death, under federal tax law, is already in the picture: for a payment to be alimony there must be no liability to make payments after the recipient dies. What happens if the payer dies is a separate question, and it is one of the most commonly skipped items in a late-life settlement. Ask your attorney what happens to the support obligation then, whether your state allows security for it, and whether life insurance is appropriate and who would own and pay for the policy. Keep that question away from the beneficiary cleanup in Chapter 19, which is a different task with a different purpose.

## **Questions to take to a family-law attorney**

Bring this written, the way Celia taught me to. You'll get better answers, and a shorter bill, than you will from the version you improvise in the chair.

1. Under the law that governs my case, is support decided by a guideline calculation, by a list of factors with judicial discretion, or by some combination, and is the rule different for temporary support than for long-term support? Where is it published?
2. Which facts about my marriage and my finances matter most to that standard, and what documents should I bring to support them?

3. Is support modifiable here, and on what showing? Can it be made non-modifiable by agreement, and what would that cost me or protect me from?
4. What ends support under my state's law and under this proposed language: an end date, remarriage, cohabitation, death, something else?
5. If I remarry, or if my ex remarries, what changes?
6. If either of us retires, does that support a change, and should the order say anything about it now?
7. If the payer dies, what happens to the payments, and is security or insurance available and appropriate here?
8. How does this support proposal interact with the property division we're discussing, including the retirement accounts and the house?
9. What is the enforcement route in my state if payments stop, and what does it realistically cost and take?
10. What does the order need to say for my CPA to report this correctly, including the execution date and whether any modification adopts the post-2018 rules?

Number 8 is the one people skip, and in a divorce after fifty it may be the one that matters most. Support can end. A retirement account doesn't stop existing in month sixty-one. If you are being asked to take more support and less of the retirement money, price both over the years you expect to live, with your attorney and a CPA, and not on the back of an envelope at the kitchen table at eleven at night.

## **Before you sign**

Put the execution date, the federal treatment, the ending events and the modification standard in writing on one page, each with the

name of the person who confirmed it. If a line has no name beside it, it isn't confirmed; it's a hope with a dollar sign in front of it.

Then read the support paragraph out loud. Slowly. If you can't say what stops the payments and what the money is worth after tax, you're not ready to sign that page yet, and nobody is entitled to rush you through it.

## **Chapter 16: Coverage Ends on a Date You Have to Ask For**

The envelope came from a company I'd never heard of, which turned out to be the outfit Russ's employer paid to run its benefits paperwork. Inside was an election notice with a monthly premium printed on it: \$612.

I sat down with it and made the only comparison I had. Groceries were running about \$340 a month for one person by then, and the utilities on the Gilbert house came to roughly \$125 in a month when the air conditioner behaved. Add those:  $\$340 + \$125 = \$465$ . The health insurance I'd carried for 31 years without ever once seeing its price was \$612.

One plan, one employer, one year. It is not what yours will cost, and I'm not offering my premium as a benchmark for anybody. What it taught me is the part worth keeping: the price of my coverage had been invisible to me for three decades, and it became visible on a deadline.

### **The plan sets the date, not the courthouse**

Your health coverage through a spouse's employer plan does not end because a judge signed something. It ends under the terms of that plan, on a date the plan determines, and the people who know that date work for the plan.

Under federal law, divorce and legal separation are listed among the life events that can trigger continuation coverage rights. That is the formal name for keeping the same group plan temporarily at

your own expense. Here is the horizon, stated the way the Department of Labor's FAQs for workers state it. When divorce causes a former spouse to lose coverage under a covered plan, that spouse can generally elect up to 36 months of COBRA; 18 months is the usual period after job loss or reduced hours, subject to plan-specific conditions and early termination.

Here is the part that catches people, and it caught me. For a divorce or a legal separation that causes a loss of plan coverage, the duty to tell the plan administrator falls on the employee or the qualified beneficiary, not on the employer.

And there are two clocks, not one. People collapse them into a single deadline and then miss both.

The first is the notice clock, the one that runs to you telling the plan a divorce happened. For a private-sector plan under the Department of Labor's rules, your deadline to give that notice cannot be less than 60 days from the latest of three dates. One, when the qualifying event takes place. Two, when the former spouse's or child's coverage runs out. Three, when official notice of your duty to inform the plan reaches you. The Centers for Medicare and Medicaid Services, which administers the same statute for state and local government plans, describes that notice period as 60 days after the divorce, or after a legal separation that results in losing coverage.

The second is the election clock, the one that runs to you deciding whether to take the coverage. Under the Department of Labor's guidance for private-sector plans, that period is at least 60 days measured from the later of the date coverage is lost or the date the election notice is given. Giving notice is not electing. Electing is a separate act, with a separate dated cutoff, and the plan will not treat your letter as both.

So write to the plan administrator now, before anything is final, and ask five things in writing. What date would my coverage under this plan end. What is the exact address, and in what form, for notice

of a divorce or legal separation. What is my dated deadline for giving that notice. What is my dated deadline for electing coverage. What is the maximum continuation period for my situation and when does it start. Keep the reply. Request the current summary plan description and election materials; confirm the current notice address and dates in writing with the administrator. Whatever the two cutoffs turn out to be, act well before them rather than up against them.

CMS also takes the position, for the plans in its jurisdiction, that where a plan failed to properly inform a qualified beneficiary of that 60-day notice duty, the plan has to disregard the person's failure to meet it. Don't build a plan around that. Build a plan around writing the letter.

## **First, find out whether the law even reaches your plan**

Not every employer plan is covered, and this is the question I'd put at the top of the page.

Federal COBRA applies to group health plans maintained by employers with 20 or more employees in the prior year. CMS, explaining the same statute, states that it does not apply to plans sponsored by the federal government, by the governments of the District of Columbia or any United States territory or possession, or by certain church-related organizations. Federal employees' health benefits operate under a separate temporary continuation of coverage arrangement created by its own 1988 law.

If your spouse works for a small employer, the federal right may not be there at all. CMS points to state continuation coverage laws, sometimes called mini-COBRA, and says your state's department of insurance can tell you whether your state requires that coverage. That is a phone call you make, not a thing you assume either way.

So the first line of any comparison is not a premium. It's a sentence naming which law applies to this particular plan, and who told you so.

## **36 months does not reach 65**

This is the arithmetic that changes how a fifty-something should think about continuation coverage, and almost nobody does it out loud.

I was 56 when my divorce was final. Medicare eligibility generally arrives at 65. That leaves  $65 \text{ minus } 56 = 9$  years of coverage to arrange. A 36-month maximum is 3 years. So  $9 \text{ minus } 3 = 6$  years that continuation coverage was never going to reach, no matter how diligently I filed anything.

Continuation coverage is a bridge. For a divorce in your fifties it is a bridge to another decision, not a bridge to Medicare. Plan the second decision while you still have the first one.

If you are nearing 65, ask the benefits administrator how your coverage ends and consult *Medicare Made Plain*, the 2027 enrollment guide in this same series, for Medicare enrollment and COBRA interactions.

One situation runs differently, and it's common enough in a late-life divorce to name. Suppose your spouse's job ended first and you were already on continuation coverage because of that. CMS describes a divorce occurring during that initial period as a second qualifying event, one that can extend a spouse's maximum period to 36 months where the conditions are met and notice is given within 60 days. Same 60 days. Different starting clock. If that is your situation, ask the administrator in writing which period you are in and what the extension requires, because the answer depends on dates and not on what feels fair.

Note also what ends a continuation period early. CMS lists obtaining coverage under another employer's group health plan after the election among them, which matters if you are weighing a job for its benefits. And the Department of Labor points out a related right: a spouse's employer plan may allow special enrollment within 30 days of your loss of coverage, a shorter window than the Marketplace's. If remarriage or a new job is anywhere in the picture, that 30-day figure is worth knowing before you need it.

## **Why the premium triples when nothing about the plan changes**

Nothing about the coverage got more expensive. What ended was your spouse's employer paying most of it.

CMS states the ceiling: premiums for continuation coverage cannot exceed 102 percent of the cost to the plan for similarly situated people who have not had a qualifying event. The cost to the plan means both the portion employees paid and the portion the employer paid, and the 2 percent is an administrative fee.

Made-up figures follow. Dated 2026, chosen to show the subtraction and nothing else. Assume a plan's cost for similar coverage is \$800 a month, of which the employee's paycheck deduction covered \$200 and the employer covered the other \$600. The continuation premium can be up to \$800 multiplied by 1.02 = \$816 a month.

Compare that with the \$200 that used to come out of a paycheck. The monthly increase is \$816 minus \$200 = \$616. Across a year, \$616 multiplied by 12 = \$7,392 of household cost that was always there and was never visible on a pay stub.

Two payment mechanics matter more than they sound. CMS says the initial premium payment is due within 45 days after the date of the election, and later premiums are timely if paid by the due date or

within a 30-day grace period. It also lists nonpayment among the reasons a continuation period ends early, along with the employer ceasing to maintain any group health plan.

Which brings up the settlement question. Your decree may say your ex pays the premium for a period. Ask your attorney what your state's court can order and how it would be enforced, and understand that the distinction from Chapter 14 holds here too: an instruction between the two of you is not an arrangement with the plan. The plan bills the person who elected, and it can terminate the coverage for nonpayment. If someone else's check is supposed to arrive, build in proof that it did, and a fallback for the month it doesn't.

## **The other side of the comparison**

Losing coverage because of a divorce can open a Special Enrollment Period on the Health Insurance Marketplace. HealthCare.gov says you may qualify if you or a household member lost qualifying coverage in the past 60 days, or expect to lose it in the next 60 days. It lists getting divorced or legally separated and losing health insurance as a qualifying change, and says plainly that a divorce without a loss of coverage does not qualify you.

Note the forward-looking half of that window. You do not have to wait for the coverage to lapse before you shop.

Three rules from HealthCare.gov decide most of what people get wrong afterward. During Open Enrollment you can move to a Marketplace plan regardless of why you're ending continuation coverage. Outside Open Enrollment, you can switch if your continuation coverage is running out, among other listed reasons. And if you choose to end continuation coverage early, you wait until the next Open Enrollment unless another life event occurs. Voluntarily dropping it is not a loss of coverage. Letting it run out is.

HealthCare.gov also tells you to check your new coverage start date before you end anything, which is the sentence I'd tape to the laptop. And be ready to send documents proving the loss of coverage, because the application asks you to attest to what qualifies you.

One divorce-specific wrinkle: the Marketplace application asks for your expected income for the year, and savings on a Marketplace plan depend on it. Your post-divorce income is not the household income you've been reporting for 30 years, and the execution-date point from Chapter 15 determines whether support is taxable income to you at all. Ask the Marketplace or a navigator which items they count, and ask your CPA what your figure actually is. A single application also shows whether you qualify for Medicaid or the Children's Health Insurance Program, and HealthCare.gov says you can enroll in those at any time, with a caution to wait for a final eligibility decision before ending other coverage.

### ***The side-by-side sheet***

Build this on one page before anybody needs an answer. Every line gets a date and the name of the person who told you.

**1. Which law applies to the plan, and who confirmed it.**

Private employer with 20 or more employees, a state or local government plan, a federal plan, a church-related plan, or a small employer where you're asking your state insurance department about state continuation coverage.

**2. The two deadlines, in writing from the administrator.**

The date your coverage under the plan ends, where and how you must give notice of the divorce, and the last day to elect.

**3. Annual premium, both ways.** Continuation premium multiplied by 12. Then the Marketplace premium you'd actually pay after any savings, multiplied by 12. For a real decision, compare premiums only over the same coverage dates; record

each plan-year reset and what you've already paid before estimating the remainder of this year.

**4. Premium plus in-network, covered-care out-of-pocket limit, both ways.** This is not a total-spending ceiling.

HealthCare.gov's definition of the out-of-pocket limit excludes your premiums, anything you spend on services the plan doesn't cover, out-of-network care, and charges above the allowed amount a provider may bill. It is the line people skip and then get surprised by, in both directions.

**5. Your likely out-of-network and uncovered care, both ways.** List the providers you use who may sit outside each network, the services each plan excludes, and ask each plan in writing what it would pay. Those dollars land on top of the number in line 4.

**6. Your doctors, your hospital, your prescriptions, each checked against each plan.** Call the offices and ask about the specific plan, by name, for next year.

**7. What resets if you switch mid-year.** Ask each plan whether anything you've already paid toward this year's deductible or out-of-pocket maximum counts under the new one.

Now the arithmetic, using the \$816 figure from the invented plan above against an equally invented Marketplace premium of \$505 a month after assumed savings. These are not quotes, not averages, and not anybody's actual costs.

Premiums first. Continuation coverage:  $\$816 \text{ multiplied by } 12 = \$9,792$ . Marketplace plan:  $\$505 \text{ multiplied by } 12 = \$6,060$ . The premium difference for the year is  $\$9,792 \text{ minus } \$6,060 = \$3,732$  in the Marketplace plan's favor.

Now add the covered-care limit from line 4, assuming it is \$3,500 on the group plan and \$8,200 on the Marketplace plan.

Continuation coverage: \$9,792 plus \$3,500 = \$13,292. Marketplace plan: \$6,060 plus \$8,200 = \$14,260.

Before you read anything into those two totals, answer line 5. Which of your providers is out of network under each plan, and what does each plan exclude. Out-of-network care, noncovered services and charges above the allowed amount sit outside the out-of-pocket limit entirely, so neither \$13,292 nor \$14,260 is a ceiling on what either plan could cost you in a bad year. They are comparisons of covered, in-network exposure and nothing more.

With that said and only with that said: \$14,260 minus \$13,292 = \$968 of covered, in-network exposure in favor of the plan with the higher premium.

Same two plans. Two honest answers, pointing opposite directions. Which one governs your decision depends on how much care you expect to use and where you expect to use it, and that is not a question a premium can answer.

## **Where to get a real answer**

For a private-sector plan, the Department of Labor's Employee Benefits Security Administration takes questions at 1-866-444-3272. For a state or local government plan, CMS handles the same statute and publishes an email address for it. For a small employer, your state's department of insurance. For plan comparisons, HealthCare.gov lists local help, and a licensed broker can price plans you may not find alone.

If you are in the middle of treatment, make one more call before you choose anything. Ask the treating physician's office which of the plans you're weighing they accept for next year, and ask your doctor what interrupting or changing coverage would mean for the specific care you're receiving. Switching plans is a financial decision with a

clinical consequence, and the clinical half is not yours or mine to estimate.

Write the letter to the plan administrator this week. Put the reply in the folder with everything else, and put the two deadlines on a paper calendar where you'll see them without opening anything.

## **Chapter 17: December 31 Decides More Than You Think**

Before you choose a filing status, find the date your final decree became effective under state law.

That one answer changes your rate, your standard deduction, several credits, and who is on the hook if something on the return turns out to be wrong. It is worth getting right before you open anything else.

### **The calendar sets your status, not the mood of the year**

IRS Publication 504, *Divorced or Separated Individuals*, puts it plainly: the filing status you can choose depends partly on your marital status on the last day of your tax year.

You're unmarried for the whole year if you obtained a final decree of divorce or separate maintenance by that last day. Publication 504 adds the part people skip: you must follow your state law to determine whether you are divorced or legally separated, and an interlocutory decree isn't a final decree. Living apart since March doesn't settle it. Mediating since June doesn't settle it. A signed final decree dated the 29th of December does, and one dated the 3rd of January does not, for that year.

Separated without a final decree on the last day of the year, and you are married for the whole year, which leaves two choices. Joint, or married filing separately.

Separate returns sound safer, and sometimes they are the right call. Understand the price. Publication 504 states that in almost all instances, spouses who file separately pay more combined federal tax than they would on a joint return. It lists why: a generally higher rate, a capital loss deduction limited to \$1,500 instead of \$3,000, no standard deduction at all if your spouse itemizes, and a string of credits reduced or unavailable. One of those rules matters more after 50 than before it. If you lived with your spouse at any time during the tax year and file separately, Publication 504 says you will have to include a higher percentage, up to 85 percent, of any Social Security or equivalent railroad retirement benefits you received.

Head of household comes up in every divorce conversation, and in a late-life divorce it often doesn't fit. The requirements in Publication 504 are specific: you're unmarried or considered unmarried on the last day of the year. You also must have paid more than half the annual cost of keeping up the home. A qualifying person must have lived with you in that home for more than half the year. Grown children who moved out years ago are not that person.

There is one version worth knowing about at our age. If your qualifying person is your parent, Publication 504 says the parent doesn't have to live with you. You must be able to claim your parent as a dependent. Also, you must cover over half of the annual upkeep of the home that was your parent's main home, for the entire year. If you're supporting a parent while the divorce runs, raise it with the CPA. Don't assume it either way.

## **A joint return you signed in 2019 is still yours**

This is the paragraph I'd read twice.

Publication 504 says that both spouses may be held responsible, jointly and individually, for the tax and any interest or penalty due on a joint return. The IRS can pursue either spouse for the full

balance, interest, and penalties. That applies even if the other spouse earned all the income. Then it continues: if you're divorced, that responsibility applies to any joint return for a tax year ending before your divorce, and it applies even if your divorce decree states that your former spouse will be responsible for amounts due on previously filed joint returns.

Chapter 14 made the same shape of point about a lender. A decree allocates things between the two of you. It does not rewrite your relationship with an outside party, and the IRS is an outside party.

If that lands badly, there are doors, and they are real. Publication 504 describes three kinds of relief from joint liability: innocent spouse relief, separation of liability, and equitable relief. Separation of liability is available only to joint filers whose spouse has died, or who are divorced, legally separated, or haven't lived together for the 12 months ending on the date the election is filed. Each has different requirements. All three are requested on Form 8857, and Publication 971 explains who qualifies.

A different form handles a different problem. If you file a joint return and your share of the refund gets applied to your spouse's past-due debts, Publication 504 describes you as an injured spouse. Those debts include their federal or state tax, support obligations, or a federal nontax debt like a student loan. Form 8379 is how you ask for your portion back. Injured spouse and innocent spouse are not the same request and not the same form. People confuse them, file the wrong one, and wait.

If you signed joint returns for years you never read, say so to a CPA now, while there is time to look. Not in April.

## The House and the Tests to Check Before You Sign

Chapter 13 priced what keeping the house costs. This is the other half of that decision, and it turns on dates.

Start with the transfer itself. IRS Publication 523, *Selling Your Home*, says a divorce-settlement transfer of your home, or your share of it, to a spouse or ex-spouse generally creates no gain or loss. There is nothing to report from that qualifying transfer.

More broadly, qualifying property transfers between spouses or former spouses incident to divorce generally have no recognized gain or loss; the receiving spouse usually takes the existing adjusted basis. That is not a sale, and the details and exceptions belong with your CPA. For IRA and workplace-plan transfers, return to Chapter 11 rather than treating this as a tax-free cash-out.

Publication 504 states that broader transfer rule. A nonresident alien spouse is the exception Publication 523 names for the home transfer.

A sale is the other thing. Publication 523 allows up to \$250,000 of gain on the sale of a main home to be excluded, or up to \$500,000 for a married couple filing jointly who meet the conditions. The tests behind that number are mechanical. Ownership: you owned the home for at least 24 months out of the 5 years leading up to the date of sale. Residence: you owned it and used it as your residence for at least 24 months of the previous 5 years, and those months don't have to run consecutively. Look-back: you didn't sell another home in the 2 years before this sale and take the exclusion on it.

Two divorce-specific rules sit inside those tests.

First, Publication 523 says that a home transferred to you by a spouse or ex-spouse carries their ownership time into yours. You still have to meet the residence requirement on your own.

Second, Publication 523 allows you to treat the home as your residence after separation or divorce if you remain a sole or joint

owner. Your spouse or former spouse must be allowed to live there under a divorce or separation instrument and use it as their main home. That rule is why the occupancy language in a settlement is a tax clause as much as a housing clause.

Now some invented 2026 arithmetic. The figures are chosen to show the subtraction, not to describe any real house or any reader's tax.

Assume an amount realized of \$455,000 after selling expenses, and an adjusted basis of \$215,000. The gain is \$455,000 minus \$215,000 = \$240,000. A single filer who meets all three tests has an exclusion limit of \$250,000. Because the assumed \$240,000 gain is below that limit, it would be excluded.

Change one fact. Suppose your divorce occurred while you owned and lived in the home, and the divorce is the main reason for the sale. Publication 523 lists becoming divorced or legally separated among the unforeseeable events that can support a partial exclusion. Its Worksheet 1 compares all three periods before calculating the limit.

Assume 18 months is the shortest of your residence period, ownership period, and the time since any prior excluded sale. Then 18 divided by 24 x \$250,000 gives a \$187,500 partial-exclusion limit. If another period is shorter, use that one instead. The full use test is 24 months during the five years before sale, not during the last 24 months. Against a \$240,000 gain, that leaves \$240,000 minus \$187,500 = \$52,500 of gain outside the exclusion.

Notice what moved. Not the house, not the price. The months.

There is a timing question underneath all of this that belongs in the settlement conversation rather than in April. A \$500,000 limit requires a joint return with both spouses meeting the residence requirement and at least one meeting ownership. Two single filers selling later are working with \$250,000 apiece under their own facts. Which is better depends on the gain, the dates, and who lived where.

Ask a CPA to run your actual numbers both ways before anyone agrees to a closing date, and ask about depreciation if any part of the house was ever rented or used for business, because Publication 523 treats that separately.

## **Splitting what you already paid**

Here's a small one that turns into a real argument every spring.

Publication 504 addresses joint estimated tax payments when you and your spouse file separate returns. Either of you can claim all of the payments, or you can divide them any way you both agree. If you can't agree, the publication gives a formula. Your share equals the total estimated tax paid multiplied by the tax shown on your separate return, divided by the total of the tax shown on both returns.

Invented 2026 numbers again. Assume \$12,000 of joint estimated payments. The tax shown on your separate return is \$9,000, and on your former spouse's return it's \$21,000, for a total of \$30,000.

Your share:  $\$9,000 \div \$30,000 = 0.3$ , and  $\$12,000 \times 0.3 = \$3,600$ . Theirs is the remaining \$8,400.

If you'd rather not land on that formula, agree in writing while you're still agreeing on other things. Publication 504 also says to show both Social Security numbers in the space provided on the separate returns, and that if you divorced during the year and made joint estimated payments, your former spouse's number goes in the space provided on line 26.

## **The lines that cost people money quietly**

These return items are easy to miss during a divorce year.

Withholding. Publication 504's reminder says the Form W-4 no longer uses personal allowances. If you had been claiming a personal allowance for your spouse and you divorce or legally separate, you

must give your employer a new Form W-4 within 10 days after the divorce or separation. The IRS Tax Withholding Estimator at [IRS.gov/W4App](https://www.irs.gov/W4App) is free, and it is a better use of an hour than most things you'll do that month.

**Estimated payments.** If you receive support that is taxable to you under the execution-date rule from Chapter 15, nobody withholds from it, and Publication 504 says you may have to make estimated tax payments. Underpay through the year and you can owe a penalty even if you end up due a refund.

For an instrument that remains taxable/deductible under the pre-2019 rules, use the current-year Schedule 1 and its instructions; the IRS can change line labels. Your CPA should confirm the reporting fields and required identifying information before you file.

The payer reports deductible alimony paid. The recipient reports taxable alimony received. Check the current-year instructions for the identifying information each side must supply.

**Health coverage.** If you shared a Marketplace policy and divorce or legal separation occurred this year, allocate the policy amounts on separate returns under the current Form 8962 instructions. That's the tax-return tail of the coverage decision from Chapter 16.

**Legal fees.** Publication 504 is blunt: you can't deduct legal fees and court costs for getting a divorce, including fees paid for tax advice in connection with it. One piece is salvageable. You can't deduct legal fees paid for a property settlement, but you can add them to the basis of the property you receive, and the publication gives the example of the cost of preparing and filing a deed to put the house in your name alone. Keep those invoices separated from the rest by task, not lumped into one line that says "legal."

**Name and address.** A name change goes to the Social Security Administration on Form SS-5, and an address change to the IRS on Form 8822. A return filed under a name the SSA hasn't recorded is a delay you don't need.

## ***The divorce-year checklist***

Five things, each with a date and the name of whoever confirmed it.

1. **Your filing status for this year, decided on the decree date.** Final by December 31 or not, under your state's law. Write the date the decree was entered next to it.
2. **Every joint return still open, listed by year.** Note which ones you signed without reading, and whether any has an unpaid balance or an unresolved notice. That list goes to the CPA before anything else.
3. **The house dates.** Date you acquired it, months of ownership, months of residence in the last 5 years, any period it was rented or used for business, and the proposed closing date.
4. **Payments already made toward this year's tax.** Joint estimated payments, withholding on each side, and a written agreement on how they're split.
5. **Forms to file or update.** New Form W-4 within 10 days, estimated payments if support is taxable to you, Form 8962 if you shared a Marketplace plan, Form SS-5 and Form 8822 if your name or address changed, and Form 8857 or Form 8379 if a joint return has gone wrong.

## **Hire the hour**

This is the chapter where I'd stop reading and pay someone. Not because the rules are impossible, but because the money at stake in a divorce-year return is usually larger than the fee, and the deadlines around amended returns and relief requests have teeth.

Bring the CPA the proposed settlement, not the finished one. A property division that looks even can shift once you know which spouse carries the house gain, who claims what estimated payments, and whether an old joint return is still breathing. A CPA reading a

signed decree can tell you what happened. A CPA reading a draft can tell you what to change.

Make one call this week, before the preparer's envelope turns into an appointment. Ask for the copies of the last three joint returns you filed, and read the first page of each one. You may be meeting your own finances for the first time.

## Chapter 18: What the Room Is For

Celia's office has a round table, not a desk. I noticed that the first time, and I noticed why the second time, after mediation.

We'd started with mediation, Russ and I. The furniture took maybe twenty minutes. Who got the dining table, who got the good chair, who got the piano: choices written on a draft. Then the mediator asked us to turn to the pension, and the room went quiet in a different way. Russ didn't know what a survivor benefit was. I didn't either. The mediator stopped. She wasn't a retirement-plan specialist and couldn't advise us on the plan's rules. She referred us to independent legal and pension help before we continued that negotiation.

Before you book a joint session: if threats, stalking, coercive control, hidden assets, blocked account access or pressure to sign make it unsafe to negotiate freely, speak privately with a family-law attorney and a domestic-violence advocate first. If you are in immediate danger, call 911.

The Department of Justice's Office on Violence Against Women directs people seeking help to the National Domestic Violence Hotline, 800-799-7233. Call from a phone your spouse cannot monitor, if you can safely access one. The Hotline's *Internet Safety* guidance warns that a monitored device may be unsafe for searching for help; private browsing doesn't erase all traces. Ask an advocate about a safer way to communicate before using a shared device or account. New York's court guide identifies domestic-violence cases as inappropriate for divorce mediation. Have counsel check your

state's court guidance and your circumstances privately, not in a joint appointment.

We knew which chair we wanted. Neither of us knew what the pension would pay after a death.

## **What mediation does well**

A mediator's job is to help two people reach their own agreement, not to decide anything for them, as the New York State Unified Court System explains in its mediation guidance. That role can be useful when the facts have been checked and the remaining disagreement is about preference.

Furniture, art, the car each of you already drives, who keeps the dog: these can involve preferences, but also ownership or value that needs checking. Where ownership, value and disclosure are genuinely settled, mediation may help you agree who takes an item; have independent counsel review any resulting settlement before signing. Liking the dining table doesn't establish your legal right to it.

Consider an invented 2026 illustration, not a legal allocation: a joint savings statement shows \$40,000, and the proposed splits are 50/50 versus 60/40. A mediator may help you discuss those proposals. The statement alone doesn't answer whether the entire balance is divisible, whether disclosure is complete, or what either spouse is entitled to receive. Ask your own attorney to check the governing state rules before making the agreement binding. Chapters 11-14 cover the classification and asset-specific questions; don't replace those checks with agreement about a balance.

Mediation may also help with agreeing when and how to tell adult children, where both spouses actually have a choice about their own participation. Your adult children aren't parties whose time you can allocate. You might also discuss the timeline for moving out or

contacting a bank, subject to legal obligations counsel has identified. A practical sequence is useful; it doesn't establish ownership or release anyone from a contract.

## **Where it stalls**

Mediation stalls where the problem isn't disagreement, it's not knowing enough yet.

An unanswered plan question doesn't become an informed choice because both people want to finish. Ask the mediator to identify what information is missing and which professional can supply it. Write that down before arranging another session. The pension questions from Chapter 12 can stay in their own folder; you don't need to reconstruct them across the table.

The same thing happens with a closely held business, restricted stock, deferred compensation, or anything that needs a valuation professional before either of you can have an informed opinion about what it's worth. It happens with a QDRO's actual drafting, which needs the plan's written procedures in front of a lawyer, not a conversation about what seems reasonable.

If a safety concern emerges during talks, return to the private-help route at the start of this chapter. Don't treat it as another valuation question for a specialist to answer while the joint session continues.

A mediator helps you reach agreement. A mediator does not replace the retirement specialist who can tell you what a pension election actually does. A mediator does not replace the CPA who can run a tax comparison both ways, or the appraiser who can put a defensible number on a business. When the question in front of you is "what is this actually worth and what does it actually do," that's not a mediation question yet. Get the information first. Mediate the split after.

## **What a lawyer adds that mediation doesn't**

A mediator is neutral by design. Neither of you has someone in the room whose job is specifically to look out for your interests and tell you when something is a bad idea.

A lawyer representing only you does that. Celia's survivor-rights question is in Chapter 12. Here the distinction is between explaining the process neutrally and advising you about the consequences of the draft in front of you. A mediator can flag missing information for both parties. Your own counsel can examine whether accepting the proposed terms serves your interests, and tell you what still needs an answer before signing.

A lawyer also knows what your state's law actually says about property division, support, and what a court will and won't enforce, instead of what feels fair in the room. And a lawyer can draft or review the documents that have to hold up later. The decree itself, a QDRO, a settlement agreement: these need language a plan administrator or a judge will accept, and that's a different skill than reaching agreement.

There's a difference, too, between a mediator and a lawyer-mediator, and it's worth asking about directly. Some mediators are also attorneys, and some of those will tell you plainly that they represent the process, not either of you, no matter which bar card is in their wallet. Ask the question anyway, in plain words, before your first session: are you representing either of us, or only the process? Write the answer down.

None of that requires giving up on mediation. It requires knowing which seat you need for which question.

## **The cost comparison, honestly**

Compare written proposals, not the words "mediation" and "lawyer." New York's *Mediating Your Case* court guide tells readers to ask

about charges, additional fees, session length and who drafts the agreement. Its divorce-mediation guide identifies free and reduced-fee programs as well as private fee-for-service referrals. Those are New York examples, not prices or eligibility promises for your state. Ask your own court's mediation program what is available and what its offer includes.

On one sheet, name each proposed path and put the date beside every quote. For the mediator, obtain the hourly or session fee and any minimum booking or payment. Ask about preparation time, document review, cancellation charges and follow-up work. If the fee is per session, record how long that session lasts. Ask who pays which charges. A free initial appointment is not a quote for the entire divorce, and an hourly rate without an estimate of hours leaves the total open.

Obtain each lawyer's review estimate separately, including review of the proposed agreement before signing. Ask whether that estimate includes an initial consultation, attendance at mediation, revisions or only one reading of a completed draft. For a proposed attorney-led route, ask what work its estimate covers too. A retainer is money paid toward work under the engagement terms, not necessarily the final cost; have the lawyer explain billing and any replenishment requirement before you count it as a total.

Add the specialist or valuation estimates the actual issues require, and the expected document-drafting costs. Identify who prepares the settlement, who prepares any separate order and whether revisions after legal or plan review cost extra. Keep specialist work needed under either path in both comparisons; it doesn't disappear because a different person chairs the meeting. Leave an unanswered charge marked "not quoted," rather than treating it as zero.

Then compare the total proposed paths on matching assumptions. Add the quoted session charges, independent legal review, specialist work and drafting for each. If a provider gives a range, keep the

range and the assumptions behind it. You haven't discovered a final bill. You've made the proposed work visible enough to ask why one estimate includes a task the other omits.

Ask what happens if talks stall: can you pause while information is obtained, what work remains usable, and what new fees would an attorney-led route require? Ask how extra sessions or draft revisions change the estimate. Timing matters too, but get proposed dates and dependencies rather than a promise that one route is faster. Neither a low hourly rate nor a short first appointment tells you what finishing will cost.

There is also your capacity to consider another draft carefully. Don't convert that into a dollar saving nobody has quoted. Do tell counsel if exhaustion is making you willing to sign terms you haven't understood. The answer isn't to remove the review from the estimate; it's to arrange the work so you can make an informed decision.

## **Using both together**

You needn't treat mediation and your own lawyer as mutually exclusive. The order of their work matters.

If private screening establishes that mediation is appropriate, one workable order is to consult an attorney early about the scope of review you need. Have counsel flag specialist questions before a joint session. Mediate the issues whose ownership, value and disclosure have been checked. Bring the attorney back to review the draft agreement before anyone signs it. For anything a mediator flags as outside their expertise, a pension, a business, restricted stock, get that specialist's information before the next mediation session, not during it. New York's court guidance recommends speaking with a lawyer before or between sessions and says you may bring one; ask about the rules and arrangements where you live.

Some mediators work specifically with each spouse's own attorney present or on call, which is its own model and worth asking about directly. Ask whether this mediator expects each of you to have independent counsel review anything you sign, and whether they'll say so plainly if a question needs a specialist neither of you has brought in yet.

This order isn't a script to follow exactly. Agree with your attorney which tasks require advice before negotiation and which drafts will be reviewed afterward. A new issue can change that arrangement. Before any session, ask whether what's on the table today is a preference question or an information question, and route it accordingly. Independent review before signing remains part of the plan, not an optional expense reserved for complicated assets.

## **The question that comes before any of this**

The opening safety gate applies throughout the process, not just on booking day. The Department of Justice's domestic-violence guidance includes economic, technological and coercive abuse; physical injury is not the only reason to seek private support. You don't have to decide on the right label before describing what is happening to an advocate or your own lawyer.

Tell them privately what prevents you from saying no, obtaining records or taking time to consider a draft. Ask the advocate to help you plan safe contact, and ask the attorney how disclosure and negotiation should be handled under your state's rules. Those are different jobs. The advocate is not deciding your legal property share, and the lawyer's document request is not, by itself, a safety plan.

Don't use a joint session to test whether your spouse will let you disagree. Nor should you assume that separate rooms or an online appointment make the underlying situation safe. Discuss the actual arrangement privately with counsel and an advocate before taking

part. If you've already booked, use a safe contact route to ask how to pause or change the process without increasing risk. A concern arising after the first session deserves the same attention as one present before it.

Mediation depends on being able to negotiate freely. A neutral chair doesn't supply that freedom. This isn't an item to weigh against the fee estimate. New York's court guide gives a clear warning about domestic-violence cases; your attorney should identify the applicable local guidance, while an advocate helps with the circumstances no fee schedule can address.

## A decision checklist

Work through this before you agree to mediate anything, and keep it where you can add to it as new issues come up.

1. **Safety first.** Have you considered the opening screen privately, including whether you can refuse a proposal without fear? If anything there applies, use the private attorney-and-advocate route before considering mediation. Don't move to question 2 while that concern remains unresolved.
2. **What's actually in dispute: facts, or preference?** An agreed balance isn't enough: have ownership, value and disclosure checked before negotiating the split. If you don't yet know what something is worth or what it does, get that information first.
3. **Does this issue need a specialist's input to even understand it?** Pensions, QDROs, closely held businesses, restricted stock, deferred compensation — route these to the right professional before the mediation session, not during it.
4. **Will the result need to be enforceable or filed with a court or a plan administrator?** If so, have an attorney review

the language before anyone signs, even if mediation produced the agreement.

5. **Do you each have, or have access to, independent counsel to review anything before signing?** If the answer is no, that's worth fixing before the first session, not after a draft is on the table.

After four meetings, we took the unresolved pension question to Celia. She made us get the plan's answer before we agreed to anything.

Celia's round table wasn't an answer. A round table is just a table. Before your next appointment, mark the unanswered item on the draft and ask who can supply the answer. Leave it unsigned until your own attorney has reviewed it.

## **Chapter 19: Who's Still Listed**

Two years after the decree was signed, I called Fidelity about something else entirely. A routing number, I think, for a distribution I was setting up. The woman on the phone read back my IRA's beneficiary designation to confirm she had the right account.

"Russell Dunn," she said. "One hundred percent."

I asked her to say it again, because I'd misheard her the first time, and I hadn't.

Nothing about my divorce had touched that form. Not the decree, not the property settlement, not the two years that had passed since I'd signed anything with his name on it. The account itself had been divided in the settlement — my portion was mine, full stop, sitting in an IRA that had existed exactly as long as the marriage hadn't. But the piece of paper that said who gets it if I die still named the man I used to be married to.

I fixed it that afternoon. I'm not telling you this story so you'll feel smarter than I was. I'm telling you because I had read my decree twice looking for a line about beneficiaries, and there wasn't one, and I assumed that meant it had been handled somewhere else, by someone else, automatically. It hadn't. Nothing about a beneficiary form updates itself.

### **Two different questions, often confused**

There are two separate questions here, and the whole chapter turns on keeping them apart.

The first: what does the form currently say? That one is simple. You can call the institution, log into the account, or read your last statement, and find out exactly who is named right now.

The second: if you don't change it, does the law treat an ex-spouse's designation as automatically canceled anyway? That one does not have a single answer. It depends on what kind of account it is and what the plan's own terms say. It depends on whether federal law governs that particular plan and preempts a state's rule. And it depends on whether your state even has a statute that revokes an ex-spouse's beneficiary status at divorce in the first place. Some states have such a statute. Some don't. Where one exists, it may apply to some account types and not others, and a plan governed by federal retirement law can operate under federal rules regardless of what your state's statute says.

I'm not going to hand you a table of which states do what, because I'd be wrong by the time you read it, and wrong in a way that could cost you money or cost someone else an inheritance they weren't supposed to get. Do not rely on an assumption about automatic revocation. Ask a family-law attorney how your state's law and each plan's terms apply. Ask the question directly, get a direct answer, and then do the one thing that works regardless of the answer — change the form yourself.

## **Why “I filed the decree” isn’t the same as “I fixed the form”**

Your divorce decree is a legal document that resolves property division, support and the other matters it covers. It is not, by itself, a new beneficiary designation. Even in a state where a statute revokes an ex-spouse's status on certain accounts, that statute is solving a problem after the fact — it's a legal backstop for people who never got around to filing a new form, not a reason to skip filing one.

And the backstop has real limits even where it applies. It may not reach every account type. It may not survive if the ex-spouse happens to also be named as a trustee, or if the governing document has specific language the statute doesn't override. If you remarry, the old statute's protection, whatever it covered, may not transfer to your new situation at all. None of that is a reason to relax. It's the opposite: it's a reason to stop treating the decree as the finish line and start treating the beneficiary form as its own separate job.

Here's the plain fact behind all of it: do not assume a decree updated any designation. For each asset, ask its administrator which documents and elections currently govern, then obtain written confirmation of the designation or election on file. You have to submit a new form, to each institution, for each account, one at a time.

## The list to work through

Go through every item on this list, even the ones that feel obviously fine. "Obviously fine" was my 401(k) rollover, right up until it wasn't.

**Employer retirement plans.** Your 401(k), 403(b), or similar plan through current or former employers. If a QDRO divided this account as part of the settlement, the kind of order Chapter 11 walked through, confirm the portion that remains yours, or the new account it rolled into, has a current beneficiary designation. A rollover may create a separate IRA with its own beneficiary record or default provisions. Ask the custodian in writing who is currently named and what happens if no named beneficiary is on file; then submit and confirm the designation you intend. Don't assume anything carried over.

**IRAs.** Traditional, Roth, SEP, whatever you have. Call or log in and ask specifically what the current designation says, not just

whether you've "updated it," since a rep's casual "yes, we have that" sometimes means they updated your mailing address.

**Life insurance.** Any policy through work or privately purchased. This is the one people forget fastest, because the premium gets paid automatically and the form never crosses your desk again after the year you bought it.

**Annuities.** If you have one, it has a beneficiary designation separate from any will.

**Pension survivor elections.** This is different from the beneficiary forms above, and Chapter 12 covered why. A pension's survivor-benefit election is often locked in once payments start. The choice may have been part of the divorce settlement itself rather than something you can simply change on a form today. Confirm what your settlement actually says about this, and ask the plan administrator in writing what your current election is and whether it's still changeable.

**Transfer-on-death and payable-on-death registrations.** Ask each bank and brokerage firm whether a TOD or POD registration is available and who is currently named. For a vehicle title, ask the state motor-vehicle agency whether a transfer-on-death designation is available and effective. These registrations pass the asset directly to a named person, bypassing a will entirely, where the institution and the state both offer them. Check every account, not just the obvious retirement ones.

**Health savings account.** If you have an HSA, it has a beneficiary designation too, and it's easy to lose track of since the balance is usually small until it isn't.

For every one of these, don't stop at submitting the new form. Get written confirmation back from the institution that the new designation is in place, showing the name and the date it was processed. A submitted form that a clerk mis-keyed is still wrong,

and you won't know unless you ask for the confirmation and actually read it when it arrives.

## **Why a will doesn't rescue any of this**

If you've already updated your will, or you're planning to, that's good — and it still won't fix a single beneficiary form. For nearly every account type on the list above, the asset passes directly to whoever's named on the form, by contract with the institution, regardless of what your will says. A will controls what passes through your estate. These accounts generally don't pass through your estate at all; they go straight to the named person the moment the institution processes the claim.

There are exceptions, and they're real. A few jurisdictions and a few account structures create situations where a will or a state statute can override a stale designation. But "generally it doesn't" is the rule to plan around. "Maybe it does, in my situation" is a question for your attorney, not an assumption to lean on. If you're working through a full estate plan, a will, powers of attorney, the rest of it, that's its own project, and *estate-planning-beginners* covers it in depth. This chapter is narrower: the divorce-specific cleanup, today, on the accounts you already have.

There's a timing reason to do this now rather than later, beyond the obvious one. Divorce tends to arrive alongside other changes: a new address, a new bank, sometimes a new last name. Each of those changes is its own reason an institution's mailing eventually bounces or its emails land in a spam folder. The beneficiary sweep you run this month is the one you can verify in writing. The one you mean to get around to next year competes with everything else next year brings.

There's also a cost to waiting that has nothing to do with dying unexpectedly. Every year that passes is another year a stale

designation sits quietly in a file, waiting for the one circumstance that makes it matter, and by definition you will not get a warning before that circumstance arrives. The paperwork doesn't care how settled your life feels now. It only cares what it says the day someone has to read it.

## **Why I'm not telling you which rule applies to you**

It would be more satisfying to end this section with a clean answer. Here's the honest shape of the research behind it: some states have passed statutes that revoke a former spouse's beneficiary status automatically on certain accounts once a divorce is final. Other states haven't passed anything like that at all. Where a statute exists, federal law can still override it for accounts governed by federal retirement rules, because federal law generally controls how those particular plans are administered regardless of what a state legislature decided. A life insurance policy and a 401(k) can sit in the same filing cabinet and answer to two entirely different sets of rules.

That's not an invitation to guess which set applies to your accounts. State revocation-on-divorce rules, where applicable, differ by state and asset. Do not rely on a default rule; have local counsel identify the rule for this account and obtain the institution's written confirmation. Ask the question plainly: for this specific account, does my ex-spouse's designation survive the divorce unless I change it, or does it fall away automatically? Get the answer in writing if you can, and then do the sweep below regardless of what the answer turns out to be, because a correctly named beneficiary is never the wrong outcome.

A practical middle ground: some states publish their revocation-on-divorce statute's text online through the state legislature's website, and a handful of family-law treatises summarize which asset

types a given state's statute reaches. That reading can orient you before the attorney call, but it is not a substitute for the call. Statutes get amended, and a summary written two years ago may already be stale.

## **The confirmation sweep**

Build one row per account. Six columns: institution, who is currently named (and the date you confirmed it, in writing), whether a new designation is needed, the date you submitted it, whether you received written confirmation back, and the date that confirmation arrived.

Start the first column with the call or the login, not with memory. You think you know who's named. I thought I knew too.

Work through every account on the list above, even the small ones, even the ones you're sure are fine. An HSA with four hundred dollars in it is still four hundred dollars going to the wrong person if you skip it because it felt too small to matter.

When every row has a confirmation date in the last column, you're done — not when you've submitted every form, but when you've confirmed, in writing, from the institution, that the submission actually took.

Keep the finished sheet somewhere you'll actually find it again: the same folder as your settlement paperwork, not a browser tab you'll close by Friday. Scan the written confirmations into the same file as the decree, so a future executor or spouse can find the record without reconstructing it from a dozen logins.

## **One more form, while you're at it**

If a support provision in your settlement is backed by life insurance, something Chapter 15 touched on as a question for your attorney,

that policy's beneficiary designation belongs on this same sweep. A policy meant to secure support payments after a death does no good if the beneficiary line still says someone other than the person it's supposed to protect.

The same goes the other direction. If your settlement requires you to carry a policy naming your ex, or your children, as beneficiary to secure something you owe, that designation needs the same written confirmation as everything else on your own list. Don't assume the policy you bought years ago, for a different reason, happens to already name the right person for this new purpose. Check it, and keep a copy of the confirmation with your settlement paperwork, not just in the insurer's file.

## **What this doesn't settle**

This chapter doesn't tell you whether your state revokes an ex-spouse's designation automatically. I can't tell you that without knowing your state, your plan, and the account type. Anyone who tells you a single national rule exists is giving you a wrong answer with confidence. Ask your attorney that specific question, for your specific accounts, and then do the sweep anyway. The form you submit yourself is the only part of this you don't have to wait on anyone else to confirm.

I think about that phone call sometimes — not with embarrassment anymore, just as the moment I stopped assuming paperwork does its own work. It doesn't. You have to go look.

## **Chapter 20: What One Household Costs**

The automatic payment is still sitting on the bank screen. Same amount, same date. Beside it, on your new budget sheet, the income line has changed.

You can delete a name from the household without deleting half the bills. The refrigerator doesn't become smaller. The rent doesn't notice.

I'll say this plainly: a fair-looking division and an affordable month are different tests.

This isn't the temporary spending estimate from Chapter 10. It's the budget for the arrangement you're proposing to keep, or the one you're already living under. Two sheets: the first month, with dates; the first full year, with the bills that haven't arrived yet.

### **Don't divide the old budget by two**

Start with your actual proposed household, not half the married one. A lease is a lease until its terms change. A car payment belongs in the budget at the contracted amount, not at the fraction that feels appropriate for one driver.

Some spending can fall. Work out which spending, using bills and prices rather than a percentage. Groceries are worth estimating from what you buy. Utilities need an estimate for the address you will occupy. A service formerly bundled with your spouse's account needs its own quote. Don't assume that living alone will preserve the old per-person price.

Nor should you assume it will double everything. This is accounting, not punishment.

Include the costs of earning your income: transport, supplies or a room required for your work. Keep business costs separate enough that they aren't subtracted twice when you calculate take-home money.

Leave room for something you intend to keep because it matters to you. A choir subscription, lunch with a friend, a modest visit to family. Price it. I don't like budgets that pretend a person will become entirely without wants after signing a decree.

## **Month one: what leaves the account, and when**

Choose an actual start date. It might be the day you move, the start of separate household payments or the month after the decree.

Then open the bills, contracts and bank transactions. The Consumer Financial Protection Bureau's *Your Money, Your Goals* toolkit includes a bill calendar and a cash-flow budget tool. They are useful companions to this sheet: an annual total doesn't tell you whether money arrives before the rent is due.

Build the month-one sheet with these entries:

1. **Opening usable cash.** The money you can lawfully access, less amounts already reserved for taxes or other identified obligations.
2. **Receipts by date.** Each expected net payment, its source, arrival date and confirmation status.
3. **Contracted payments by date.** Housing, debt payments, coverage and other obligations already incurred, using the amount due this month.
4. **Necessary variable spending.** Food, transport and other daily needs, based on a realistic estimate.

5. **Transition payments.** Deposits, moving charges, setup costs and professional invoices payable during this month.
6. **Running cash balance.** Update it after each receipt and payment; identify the first date it would fall below zero.

A deposit paid before the first paycheck needs opening cash. It cannot be funded by next month's surplus. A refundable housing deposit is still money tied up until returned.

For support you pay, enter the obligation confirmed with counsel. For support you receive, distinguish the amount legally due from money actually received. An order and a bank deposit answer different questions; keep an unpaid amount visible rather than quietly counting it as available cash.

State law varies on support, temporary obligations and what you may change while a case is pending. Ask your attorney to identify the governing rule and the terms of your order before reducing a required payment or moving money subject to restrictions. A shortfall is a reason to call, not permission to disregard the papers.

If this calendar goes negative, first identify the cause. A payment-date mismatch may need a timing solution. A recurring deficit needs a change in resources or spending. Don't use a later annual calculation to erase either problem.

## **Year one: bring the unopened bills into view**

Pick the twelve-month period you mean. If it crosses calendar years, record that. Use known renewal quotes and dates where available; mark the unquoted later costs for review rather than treating today's price as a promise.

The yearly sheet begins with the household's recurring payments and realistic ordinary spending. Add separately the irregular costs not already included. Carry the annual housing figure and repair-

funding allowance from Chapter 13 directly into this sheet if you're keeping that property. Don't rebuild its worksheet here. If you're renting instead, use the actual proposed lease and your own associated costs.

Carry the chosen coverage figures from Chapter 16 too. Identify what health-cost cash you plan to hold beyond premiums, using that comparison rather than pretending the premium is the whole medical budget. Don't count the same health provision under both an irregular-cost line and an additional reserve line.

Make room for car maintenance, annual registrations, professional help still needed to finish the divorce and other expenses you can identify from your records. Replace guesses with quotes when possible. Unknown doesn't mean free.

Use this year-one structure:

1. **Net recurring resources.** Total the confirmed receipts for the months they will actually be available.
2. **Recurring household funding.** Include ordinary spending and required payments, with no duplicate housing or coverage components.
3. **Irregular funding.** Add the annual bills and planned reserves omitted from the recurring total, with their due dates.
4. **Transition costs.** Show one-time setup expenses separately from the ongoing household cost.
5. **Annual gap and cash path.** Compare resources with funding needs, then test when cash is needed using the month-one calendar extended forward.

Dividing an annual bill by twelve gives a monthly saving target. It doesn't pay a bill due next week. If you've already put cash aside, show that opening provision and the balance left after payment. Saving into that provision and later spending it are movements of the same money, not two separate annual costs.

## **A quiet first month can conceal an expensive year**

Consider invented 2026 budgeting figures, unrelated to the examples in earlier chapters. These aren't prices, recommended allowances or amounts anyone is entitled to receive. Assume all recurring receipts below are confirmed net spendable amounts, after any tax provision needed for them.

Assume monthly wages of \$2,800 and support actually received of \$900. That's \$3,700 available each month. Contracted household payments total \$2,900; ordinary variable spending is \$500. Total monthly spending is \$3,400, leaving \$300.

That looks workable on a sheet containing only monthly bills.

Now assume another \$6,000 of annual bills and reserve funding, none included in the \$3,400. Recurring spending for twelve months is \$40,800. Add the \$6,000 and the ongoing annual funding need becomes \$46,800, or \$3,900 a month on average. Twelve months of resources provide \$44,400. The shortfall is \$2,400 a year, equivalent to \$200 monthly.

The reassuring monthly surplus has disappeared without a single unexpected expense.

Suppose usable starting cash is \$9,000, after existing tax and other earmarks, and separate transition charges total \$3,000. That leaves \$6,000. Funding the assumed annual shortfall would reduce it to \$3,600 by year-end. This assumes all receipts arrive and the stated costs don't change; it says nothing about whether particular bills can be paid on their dates. Add a separate line for the minimum cash reserve you've individually chosen to protect, and its funding status — distinct from the repair and health reserves and the transition cash already counted. The \$3,600 is a projected balance, not permission to spend it: compare it with the separate cash floor you need to protect; any amount below that floor is another funding gap.

Now assume support stops arriving for the rest of the year:  $\$2,800 \times 12 = \$33,600$ , against the same \$46,800 funding need — an annual gap of \$13,200. After the \$3,000 transition charges, the \$6,000 bridge is short by \$7,200 before counting any protected cash floor. Find the first missed-payment month on the cash calendar and the due date it falls short, rather than averaging the loss across the year. Use the order's confirmed support end date and your attorney's advice to decide whether a payment is late or legally over; don't treat an unpaid obligation as canceled, and don't count an unsold property or an incomplete transfer as a receipt in either version.

Cash can buy time to make a change. It doesn't turn this recurring shortfall into income. A documented \$200 monthly reduction in ongoing spending would close the assumed annual gap; crossing out necessary repair funding without reducing the underlying need would merely hide it.

## **Name the money before assigning it a job**

Beside every resource, write where it comes from, when it becomes usable and what evidence supports the amount. A retirement statement is evidence of an asset. It isn't evidence that the same sum can fund next month's checking account.

For budgeting, I would put confirmed recurring net receipts first. Wages already being earned, support actually arriving, a pension already paying: use their documented amounts and dates. If you receive Social Security, use your own confirmed payment, not someone else's estimate. The eligibility discussion stays in Chapter 12; this is the line for money available to this household.

Separate hoped-for earnings from established earnings, and if your plan requires more working hours, show when they could begin, what work is available and what expenses come with it. A future job

offer isn't today's deposit. Keep a version of the budget without that added income until you can substantiate it.

Next, identify accessible cash intended for transition costs and a temporary bridge. Give the bridge an amount and a review date. Don't assign one dollar to the moving bill, a tax reserve and the first year's deficit. Savings used for living costs belong on a separate drawdown line, not disguised among wages.

Then flag proposed asset sales or retirement withdrawals for professional analysis before relying on them. Chapter 14's basis records and Chapter 11's retirement-transfer work remain in their folders. Here, request an estimate of spendable cash after the actual costs and tax consequences, along with the earliest realistic access date.

This is a planning order, not a universal instruction to spend cash before investments or to select one account before another. A CPA and planner may recommend a different funding sequence based on your circumstances.

Keep anything contingent in a separate version: a house not sold, a transfer not completed, support not arriving. Test how the household operates without it. An asset can be yours on paper while its spending date remains unresolved.

## **Take the shortfall back to the proposal**

If you haven't signed the settlement, bring the annual gap and the cash calendar to your attorney now. Say what the proposal requires in spendable money and what the proposed resources actually provide. Ask which terms remain open to negotiation and which assumptions need specialist confirmation.

Don't ask the budget to decide your legal entitlement. Property and support rules vary by state; have counsel name the applicable statute or court guidance and explain its effect here. The sheet can

show why a proposal is financially difficult without establishing that the law will provide a larger award.

Examine changes in terms of annual dollars and timing. A different housing arrangement, fewer optional commitments or additional documented earnings might change the result. Use the housing comparison from Chapter 13 rather than redoing its calculation from memory. Include the cost of making the change, not merely the savings after it happens.

You may have to choose between things you hoped to preserve. Keeping everything by assuming investment growth, uninterrupted support and no repairs is not a conservative plan. Ask the planner to test less favorable outcomes; don't add an invented return just to make the bottom line positive.

If the decree is already final, ask counsel what, if anything, can legally be revisited. Don't assume a disappointing budget reopens property division or permits support to change. Meanwhile, identify spending you can actually alter without breaching an obligation.

## **Pay for a bounded review when the guess matters**

If ongoing expenses require withdrawals from retirement savings, or your plan depends on a sale or payment that isn't secure, this is a good point to request professional help. A year-one budget cannot establish that your assets will last through retirement.

Ask a fee-only planner whether they offer a limited, hourly or fixed-project cash-flow review. Confirm in writing how they are paid, whether they receive commissions or referral compensation, and what the quoted work includes. The label alone doesn't answer whether this person knows the divorce-related issues you need examined.

Request a defined task: review the first-year cash calendar, identify the recurring deficit, and assess the proposed retirement funding with its assumptions made explicit. Ask what longer-term analysis is needed before deciding that retirement withdrawals can sustain the household. Obtain the price and deliverables before booking; a few hours may be enough for an initial review, not for every question.

Bring the proposed or final settlement, account records, tax information and both budget sheets. Tell the planner which transfers remain unfinished and which receipt amounts are uncertain. Ask for a written explanation of the funding sequence, tax questions for the CPA and legal questions for the attorney. A planner's spreadsheet doesn't amend the decree.

Ask the planner to mark the first month your balance falls below your protected reserve if a promised payment is late.

## **Give the estimate a correction date**

After the first month, replace estimated spending with what actually happened, separating one-time setup costs from recurring costs and moving unpaid bills forward instead of losing them between sheets. Keep amounts already reserved visible when checking what remains available.

If the plan depended on income that didn't arrive, contact the relevant professional before another month passes. Set the next review date around the next uncertain payment or renewal, not around when you expect to feel settled.

Tonight, put the due date beside your largest payment and the arrival date beside the money meant to cover it. If they don't meet, write down the call you need to make tomorrow.

## **Closing: After the Last Signature**

The pile on the table, back at the start of this book, was never really about the paper. It was about a sentence nobody in the house had said out loud yet. Somewhere between that evening and this page it got said, by you or to you, and the paper stopped being the hardest thing in the room.

Finishing the paperwork and feeling finished are two different things, and you are allowed to arrive at the first one without the second. A decree records the orders the court entered. It does not prove that an account transfer or beneficiary change was completed. It also says nothing about how you are supposed to feel about any of it on a Tuesday six months from now, and it was never built to.

What sits where the pile used to be is a file with an order to it. That letter from a plan administrator you didn't recognize, the one on top of the stack that first evening, reads differently now. You know which office sent it, what that office is allowed to decide, and whether it needs an answer this week or just a place in the folder. Small, maybe. Not small at all if you can still picture the night when every envelope looked equally urgent and equally unreadable.

Here is something I owe you before I stop. A good deal of what you wanted from this book was a verdict. What you got instead was a question with somebody's phone number attached to it. Was the support figure right. Was the split fair. Should you have kept the house. I don't know, and nobody writing for a general reader can, because family law belongs to your state and plan terms belong to your plan. You asked counsel how your state's support factors apply

to your circumstances, and that answer lives in your notes rather than in these pages. It was always going to live there.

That bothered me while I was writing. Handing you a figure would have been easier, and readers like a figure. I'd also have had no idea whose state it was true in, which is the whole trouble with a confident number in a book about family law.

The part nobody warns you about is how much of this turns out to be waiting. Waiting on a plan administrator. Waiting on a court date that moved. Waiting for a letter to say yes or no about something you had already decided months earlier, while the market did whatever the market was doing and you couldn't act on either one. Weeks go by where the only honest entry in your notes is that nothing came. Most of this process happens in offices you'll never see, on schedules nobody shows you. Some waits were unavoidable. Others needed an answer from counsel or the plan. Silence alone never told me which.

You may still be afraid of the money. That fear doesn't end at the signature, and I'm not going to pretend otherwise. It does change shape. It attaches itself to figures you have seen with your own eyes and dates you wrote down yourself, and it stops being the four-in-the-morning version with no edges on it. Fear with a number on it is something you can carry into an appointment and set on a table.

The advice you will hear most often from here is to put it all behind you and stop looking back. People mean it kindly. I think it's wrong, and expensively so. You are going to open that file on purpose for years, and not to reread the hard parts. Mostly you'll open it to see whether a form still says what it said, whether a premium changed, whether a payment landed on the day it was meant to. That's an ordinary household chore. Closer to testing the smoke alarms than to grieving.

Russ still texts about the grandkids' birthdays, and I still answer, and neither of those facts needed to be bigger than it is. He isn't a villain in my version of this, and he doesn't have to be in yours. Some

marriages end with a villain in them, and if yours did, nothing I've written here asks you to be gracious about it. What I am saying is that you get to decide what size the remaining relationship is, if there is one at all. Nobody else's idea of a good divorce has to be yours, including the one a friend will describe to you over lunch with total conviction, having never seen a page of your file.

One more honest thing, since this is the last page. The day it stops hurting doesn't announce itself. It arrives as an ordinary afternoon you forgot to be sad in, and you tend to notice about a week later, usually while doing something dull like rinsing out a casserole dish. There's no scheduling that and no hurrying it.

What I'll leave you with isn't a feeling. It's the habit that carried the hardest chapters here: write it down, ask the office that actually decides, and keep the answer in writing. A good memory loses to a written list in year three the same as in month one.

So, before you put this book away: verify the current beneficiary on the account you trust least, and save the written confirmation they send you. One account, one call or one login, one answer you can point to. Then close the folder, and go have the rest of your week.